

Monetary Policy Statement.

May 2026



Policy assessment.

The Monetary Policy Committee voted to hold the OCR at 2.25 percent.

Annual consumers price inflation was 3.1 percent in the March quarter. The Middle East conflict is increasing near-term inflation and weakening economic activity. Inflation is expected to peak at 4.3 percent in the September quarter and to return to the 2 percent target mid-point in mid-2027. Currently, core inflation, wage growth, and medium- to long-term inflation expectations remain consistent with inflation returning to the 2-percent target mid-point over the medium term.

The global economic backdrop remains uncertain. Supply chain disruptions, higher prices for petrochemicals, and a more fragmented global trading environment are impacting the outlook. Growth will vary across countries, reflecting differences in energy intensity, fiscal support, and exposure to AI investment. On balance, New Zealand's trading partners are expected to see weaker growth and higher inflation.

Domestically, business contacts and surveys indicate weaker confidence and spending. For some firms, rising costs are squeezing profit margins and curbing investment and hiring intentions. Consumer confidence has fallen sharply, and the housing market remains weak. Economic conditions continue to differ across regions and sectors, with high commodity prices supporting incomes in regional New Zealand.

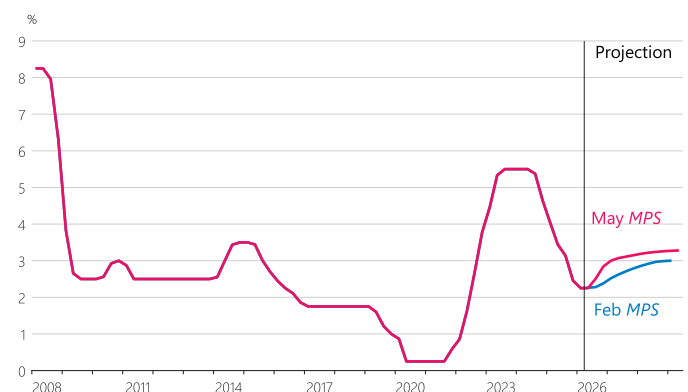
The outlook for medium-term inflation pressures is also uncertain. These could remain elevated if households and businesses expect higher costs in future and build those expectations into price- and wage-setting decisions today. However, weak demand and elevated unemployment will dampen medium-term inflation pressures.

The Committee remains focused on ensuring that increased costs do not lead to elevated inflation over the medium term, while avoiding unnecessary economic volatility. On balance, the OCR will most likely need to increase sooner and by more than envisaged in the February *Monetary Policy Statement*. The pace of OCR increases will depend on the relative influence of persistent wage- and price-setting behaviour versus weaker economic activity on medium-term inflation pressures.

Anna Breman

Anna Breman
Governor

Figure i.1
Official Cash Rate (OCR)
(quarterly average)



Source: RBNZ estimates.

Monetary Policy Framework

The Monetary Policy Committee operates and makes decisions under the Monetary Policy Framework that comprises the following key components:

- the *Remit*;
- the *Charter*;
- the *Code of Conduct*; and
- the monetary policy strategy.

The corresponding documents to these components and additional information can be accessed on our website under the [Monetary Policy Framework](#).

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May 2026

Contents

Policy assessment	ii
1. Summary record of meeting	2
2. Economic assessment and monetary policy outlook	7
Box A: Scenarios for the effect of the Middle East conflict on New Zealand	13
Box B: Summary of recent business visits	20
3. Global economy and financial markets	25
4. Special topics	35
4.1 How will the Middle East conflict affect the New Zealand economy?	37
4.2 How much spare capacity is there in the New Zealand economy?	43
5. Economic projections	49
6. Appendices	57
Appendix 1: Statistical tables	58
Appendix 2: Chart pack	63

The projections were finalised on 21 May 2026. The Official Cash Rate (OCR) projection incorporates an outlook for monetary policy that is consistent with the MPC's monetary policy assessment, which was finalised on 27 May 2026.

Chapter

01

Summary record of meeting

Chapter 1.

Summary record of meeting

The ongoing conflict in the Middle East is weakening economic activity and increasing near-term inflation. The Committee remains focused on ensuring that higher costs do not lead to elevated inflation over the medium term, while avoiding unnecessary economic volatility. A prolonged period of weak economic growth and elevated unemployment is expected to dampen medium-term inflationary effects. The Committee judges that the balance of risks is to the upside for inflation and to the downside for growth.

Conflict in the Middle East is disrupting global supply chains

The Middle East conflict has severely disrupted the supply of oil, gas and other petroleum products transiting through the Strait of Hormuz. The decline in oil supply has so far been mitigated through inventory drawdowns, rerouting, increased production elsewhere, and demand adjustment in some countries. This helped contain oil price increases over April and May, despite no resolution to the conflict. Nevertheless, prices for petroleum products have increased substantially since the conflict began, increasing prices for fuel and other petrochemical-intensive inputs such as plastics and fertilisers.

The Committee noted that the outlook for energy prices depends on how the conflict evolves, the extent of damage to energy infrastructure in the Middle East, and the speed with which global supply chains adjust. Members noted that these events will encourage firms to permanently reconfigure their supply chains to reduce exposure to the region. Along with stronger global demand for renewable energy, this may place further upward pressure on global energy prices in the near term.

Pricing in oil futures markets is consistent with a resolution to the conflict over coming months and shipping resuming through the Strait of Hormuz. However, given damage to energy infrastructure and the need to rebuild inventories, oil prices are expected to remain elevated over the medium term.

Trading partner inflation is increasing

The Committee noted that higher energy prices have increased headline inflation in many of New Zealand's trading partners in recent months. Trading partner inflation is expected to increase further as the direct and indirect effects of higher costs emerge. Members noted that the pass-through of higher costs to near-term inflation will vary across economies, depending on factors such as energy intensity, price controls, subsidies, or tax changes. Differences in current economic conditions, including the degree of capacity pressure, will influence the extent of medium-term inflation pressures across trading partners.

The Middle East conflict poses downside risks to global economic activity. High-frequency indicators suggest that higher petrochemical prices are weighing on sentiment and real incomes in many economies. The impact is expected to be largest for economies with greater reliance on imported energy and energy-intensive manufacturing, including many of New Zealand's Asian trading partners. In some cases, these headwinds may be partly offset by continued strong demand for artificial intelligence exports and fiscal support.

The New Zealand economy was recovering prior to the conflict

The Committee noted New Zealand was in the early stages of an economic recovery. GDP growth of 0.2 percent in the December 2025 quarter was lower than expected, but timely indicators suggest the economy continued to expand in the March 2026 quarter. For example, strength in retail spending broadened across industries and businesses reported increasing capacity constraints, consistent with the economic recovery gaining momentum.

There has been significant spare capacity in the New Zealand economy for some time. This is reflected in a range of indicators, with the output gap estimated to be -1.3 percent of potential output in the March 2026 quarter, broadly in line with the estimate in February.

The labour market was stabilising, with employment growing modestly and annual wage inflation remaining at 2 percent in the March 2026 quarter. Net migration has increased materially since late 2025. Unemployment remains elevated, indicative of spare capacity in the labour market.

Annual headline inflation remained at 3.1 percent in the March 2026 quarter, which was higher than expected in the February *Statement* largely due to fuel price increases over March. Underlying inflation has continued to gradually ease, with measures of core inflation declining on average to 2.3 percent.

Near-term inflation is expected to increase, and economic growth to weaken

First-round direct and indirect effects from higher petrochemical prices will increase inflation this year. Direct effects, through higher fuel prices for businesses, are expected to occur slightly faster than the indirect effects of higher prices of petrochemical-intensive inputs. Intelligence from business engagements indicates that some firms have implemented temporary fuel surcharges, although the extent of this varies across sectors. Some businesses are absorbing cost increases into margins given weak demand, while others are embedding higher costs into price changes.

The Committee noted elevated uncertainty around its near-term inflation forecast. The forecast incorporates current oil futures pricing, which assumes Dubai oil prices fall to US\$96 per barrel by the end of the year. Annual headline inflation is expected to increase to a peak of 4.3 percent by the September 2026 quarter and to return to the target mid-point in mid-2027. While shorter-term inflation expectations have increased, medium- to longer-term expectations remain close to 2 percent.

Near-term economic activity is likely to be weaker than assumed in the February *Statement* because of the Middle East conflict. Higher fuel prices are increasing costs, lowering profit margins for many businesses, and reducing real incomes and household purchasing power. High frequency data, including electronic card transactions and measures of business and consumer confidence, are pointing to weak demand in the near term. With weaker consumption and investment, annual GDP growth in 2026 is now expected to be 0.9 percentage points lower than assumed in the February *Statement*. These forecasts indicate a slower economic recovery in the near term, with the pace of economic growth increasing by the end of the year.

Financial conditions have tightened

Market expectations for central bank policy rates have increased, both domestically and abroad. The Committee discussed how differences in economic starting points, fiscal and structural policy responses to higher fuel prices, and reliance on imported energy will influence the monetary policy response required to contain medium-term inflation across countries.

The Committee noted that financial conditions in New Zealand have tightened through higher wholesale interest rates passing through to higher fixed-term mortgage rates and, to a lesser extent, term deposit rates. The average interest rate on outstanding mortgages declined to 4.9 percent in March but is expected to increase to 5.3 percent over the next 12 months.

Global financial market volatility increased materially in March because of the Middle East conflict but declined following the ceasefire in early April. Global risk appetite has subsequently improved, in part due to strong upward revisions to earnings growth among US technology firms pushing up global equity prices. There has been some volatility in the trade-weighted New Zealand dollar exchange rate, but it is currently little changed since the start of the year.

The Committee was also briefed on financial system stability and agreed this poses no material trade-off to meeting its inflation objective.

The Committee discussed risks to the inflation outlook

Members noted uncertainty around the scale and duration of the global economic consequences of the Middle East conflict and how the shock will propagate through the New Zealand economy and influence medium-term inflation pressures.

The Committee discussed the risk of higher near-term inflation feeding through to medium-term inflation. Members noted that firms' price-setting behaviour could be more persistent because of generally elevated inflation since the pandemic and the cost-push nature of the current shock. This would lead to stronger second-round inflation effects than currently assumed. This risk is accentuated by low profit margins for some businesses given weak activity and higher costs, limiting the degree to which they can absorb further cost increases. Wage pressures could also arise from labour shortages in some sectors and regions. However, if the recent increase in net migration continues, this would help to offset this risk.

Members noted that spare capacity in the domestic economy and weaker global demand could constrain firms' ability to pass on higher costs by more than assumed in the central projection. Lower spending by households in response to lower real income growth, persistently elevated unemployment, a weak housing market, and reduced resilience due to repeated shocks collectively pose downside risks to domestic economic activity. However, economic activity could recover faster than assumed if a resolution to the Middle East conflict leads to lower domestic fuel prices.

The Committee discussed risks to the global growth outlook. To the downside, members noted that high and increasing global government debt ratios, alongside greater geopolitical fragmentation, could push up long-term bond yields, tightening financial conditions and weighing on global growth. The Committee also noted that earnings expectations and valuations in US equity markets remain elevated and that if revenues from AI products fail to meet expectations, this could lead to a shock that would pose downside risks to global growth.

To the upside, members agreed that demand for New Zealand's exports could remain stronger than expected if our Asian trading partners continue to benefit from strong manufacturing investment. Greater investment from large technology firms, alongside stronger investment in economic and military security, may also continue to provide a tailwind to the global economy through stronger economic activity in Asia, Europe and the US.

The Committee noted the three alternative scenarios in the *May Statement*. These informed the trade-offs influencing the Committee's discussions and decisions. The scenarios represent just three of many plausible paths for the domestic economy and inflation. In practice, monetary policy decisions depend on a broad range of factors, including prevailing economic conditions, the outlook for medium-term inflation pressure, and the Committee's secondary objectives of avoiding unnecessary instability in the economy while having regard to financial system stability.

The Committee voted to leave the OCR unchanged at 2.25 percent

The Committee emphasised that it remains focused on ensuring core inflation, wage growth and medium- and long-term inflation expectations remain consistent with inflation at 2 percent over the medium term. It discussed the monetary conditions required to achieve the medium-term inflation mandate. Members noted that financial conditions have tightened materially this year, helping to guard against the risk of second-round price effects.

All Committee members agreed that the central projection for the OCR was appropriate and a good reflection of the trade-offs currently faced. However, members differed in their preferred timing for the initial increase in the OCR.

Three members (Anna Breman, Karen Silk, Paul Conway) judged that holding the OCR at 2.25 percent was appropriate at this meeting. These members emphasised that core inflation and wage growth remain contained and medium- and long-term inflation expectations remain around 2 percent. Indicators of economic activity have deteriorated, in some cases more quickly than anticipated. Tighter financial conditions and economic uncertainty are already weighing on household and business sentiment, which is reducing consumption and investment. Spare capacity in the economy is likely to dampen second-round inflationary pressure.

With inflation pressures increasing in coming months, these members agreed that OCR increases would be required to ensure inflation returns to target over the medium term. These members noted the wide range of estimates for the neutral interest rate, making it difficult to assess the extent to which current monetary conditions are accommodative. They emphasised that the timing of OCR increases should depend on the evolving data, the outlook, and the balance of risks. Close attention needs to be paid to global developments, supply chain normalisation, core inflation, wage dynamics, and inflation expectations. These data, as well high-frequency indicators, will clarify whether stronger second-round inflation effects are emerging.

Three members (Carl Hansen, Hayley Gourley, Prasanna Gai) preferred to increase the OCR by 25 basis points, to 2.5 percent, at this meeting. These members emphasised that, given the breadth of critical inputs that have been impacted by the conflict, first-round indirect price increases could become more broad-based, feeding through to a greater risk of second-round price increases. These members noted that 2-year inflation expectations have risen across a range of surveys. Firms may reset prices based on a shared belief about the persistence of the shock and prices would remain elevated even if the shock were to fade. In addition, should domestic fuel prices decline faster than expected, it may lead to stronger demand as confidence responds more quickly. These members noted that monetary conditions remained accommodative. Further, inflation in New Zealand's trading partners could increase faster than expected due to both the Middle East conflict constraining supply, and AI-related spending boosting demand.

These members judged that removing stimulus now, while observing domestic economic developments, would help reduce medium-term inflation risks. Moving earlier was viewed as preferable, given upward pressure on neutral rates, and that it may also limit the overall magnitude of the increase in the OCR and the negative impact on output. One member (Carl Hansen) emphasised that raising the OCR at this meeting would also create optionality for further monetary policy tightening in July.

All Committee members agreed that increasing the OCR at upcoming meetings would likely be necessary to ensure higher near-term inflation does not feed through to higher medium-term inflation. The Committee judges that this is a proportionate response to bring inflation to target in a reasonable timeframe without creating unnecessary volatility in output. The pace of OCR increases will depend on the relative influence of persistent wage- and price-setting behaviour versus weaker economic activity on medium-term inflation pressures.

On Wednesday 27 May, three Committee members (Anna Breman, Karen Silk, Paul Conway) voted to leave the OCR on hold and three members (Carl Hansen, Hayley Gourley, Prasanna Gai) voted for a 25-basis point increase. In this instance, the chairperson has a casting vote, meaning the OCR remains on hold at 2.25 percent. The Committee remains focussed on bringing medium-term inflation back to target and expects that OCR increases will be required this year.



Attendees:

MPC members:

Anna Breman (Chairperson), Carl Hansen, Hayley Gourley, Karen Silk, Paul Conway, Prasanna Gai

Treasury Observer:

James Beard

MPC Secretary:

Elliot Jones

Chapter 02

Economic assessment and monetary policy outlook

Chapter 2.

Economic assessment and monetary policy outlook



Key points

The Middle East conflict has materially altered the outlook and the balance of risk for inflation and economic growth, globally and in New Zealand. Higher global oil prices have increased domestic inflation directly, through higher prices for petrol, diesel, and other petroleum-based products, and indirectly, through higher input costs faced by businesses. At the same time, higher fuel costs have reduced household disposable incomes. Lower real incomes, elevated uncertainty, and weak confidence are reducing domestic spending and growth.

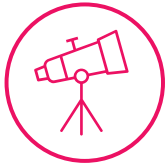
Inflation was slightly above the Monetary Policy Committee's 1 to 3 percent range before the conflict, and is expected to increase in the near term. Annual consumers price index (CPI) inflation remained at 3.1 percent in the year to the March 2026 quarter, in part reflecting higher fuel prices in the month of March. Based on the current outlook for oil prices, CPI inflation is projected to be 4.2 percent in the June 2026 quarter, unchanged from the April monetary policy review, and to peak at 4.3 percent in the September 2026 quarter. This reflects both the direct and indirect first-round effects of the Middle East conflict on New Zealand prices.

Inflation is projected to return to within the target band in the first half of 2027, when the initial increase in fuel prices drops out of the annual calculation. Significant spare capacity in the domestic economy is continuing to dampen underlying inflationary pressure and is expected to limit firms' ability to pass on higher costs. Measures of core inflation are on average close to 2 percent, and wage growth is at levels consistent with medium-term price stability. While shorter-term inflation expectations have increased, inflation expectations at the five- and ten-year horizons remain close to the 2 percent target mid-point in our

survey of business leaders and professional forecasters.

Nevertheless, New Zealand is likely to face additional inflationary pressure as a consequence of recent events in the Middle East. Pricing in futures markets implies that global oil prices are expected to decline over 2026, but to remain around 20 to 30 percent higher than pre-conflict levels in the medium term. Higher inflation in New Zealand's trading partners and a lower exchange rate are expected to contribute to higher non-oil import prices. Higher near-term inflation is expected to influence price- and wage-setting behaviour in the medium term, despite domestic spare capacity. Monetary policy will respond as needed to ensure that near-term inflation does not feed through to higher medium-term inflation.

The Monetary Policy Committee is focused on ensuring inflation returns to the 2 percent target mid-point over the medium term. Conditional on the central economic outlook, we project that the OCR will need to increase this year. The scale and timing of OCR increases remain uncertain.



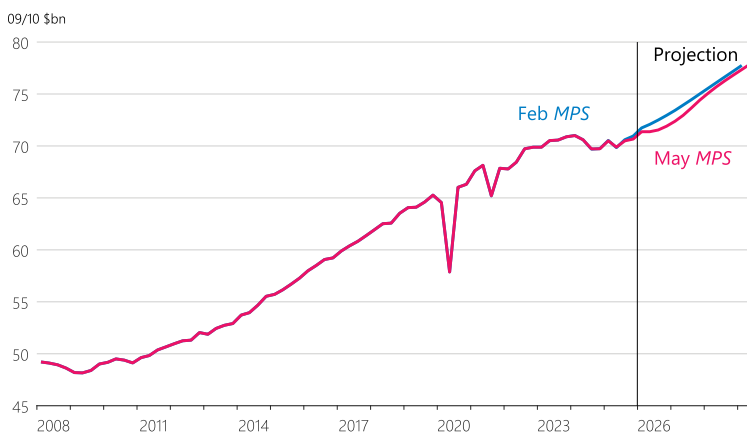
Economic assessment

At the start of the year, the New Zealand economy was in the early stages of recovery

Real production GDP increased by **0.2 percent** in the **December 2025 quarter**, following **0.9 percent** growth in the **September 2025 quarter** (figure 2.1). December quarter growth was weaker than the 0.5 percent growth expected at the time of the February *Statement*. Growth was supported by continued expansion in services and primary industries, while construction contracted and manufacturing output was broadly unchanged in the quarter.

Figure 2.1

Production GDP (real, seasonally adjusted)

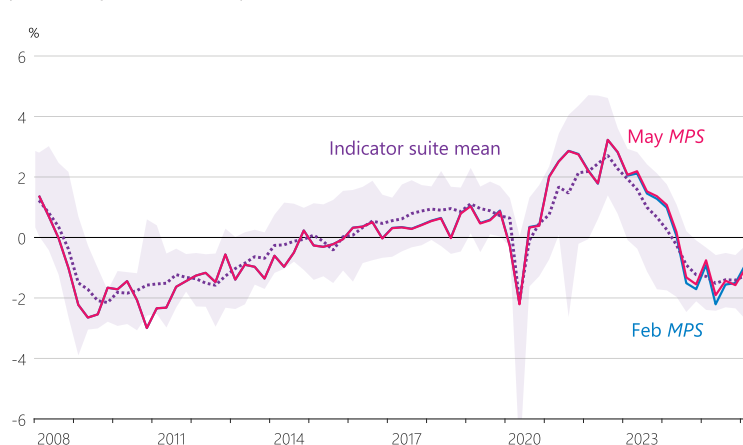


Source: Stats NZ, RBNZ estimates.

Note: Production GDP is expressed in 2009/2010 prices.

Figure 2.2

Output gap and indicator suite (share of potential GDP)



Source: RBNZ estimates.

Timely indicators of activity suggest that the economy continued to grow in the **March 2026 quarter**, reducing **spare capacity** (figure 2.2). In the Quarterly Survey of Business Opinion (QSBO), businesses reported an improvement in trading activity and increasing capacity constraints, consistent with the economy gaining momentum and spare capacity being absorbed over the first two months of the year. The Performance of Manufacturing Index (PMI) also improved in the March 2026 quarter, although the Performance of Services Index (PSI) weakened slightly. The Reserve Bank's GDP nowcasting model, **Kiwi-GDP**, which incorporates information from these data and a broad range of other indicators, suggests the economy grew 0.5 percent in the March 2026 quarter.¹

The Middle East conflict has materially altered the economic outlook

The outbreak of the conflict in the Middle East in late February and the subsequent closure of the Strait of Hormuz have disrupted commercial shipping and led to a sharp increase in global prices for oil (figure 2.3). Other petrochemical products, such as plastics and fertilisers, are also directly affected. While oil prices have declined from their peaks in early April, they remain much higher than expected at the time of the February *Statement*.

Oil futures pricing indicates that financial markets expect the conflict to resolve over the coming months and shipping via the **Strait of Hormuz to resume**. However, the conflict has caused lasting disruption to oil supply, with damage to production facilities and decreased global inventories. Global strategic oil reserves have been drawn down, and the need to rebuild reserves may support prices for some time after the conflict has resolved. Futures market pricing suggests that oil prices are expected to remain elevated over the projection, around 20 to 30 percent above pre-conflict levels.

¹ This is a model-based forecast. Unlike our central projection, the seasonal adjustment in this model does not account for residual seasonality in recent official GDP data.

The outlook for the Middle East conflict and future oil supply is highly uncertain.

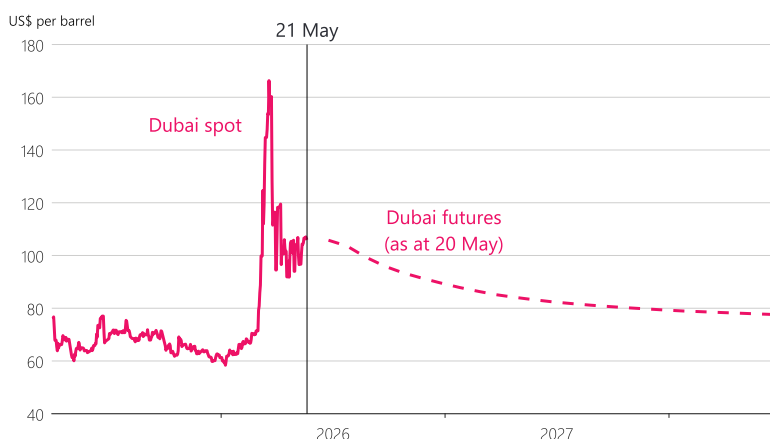
Futures markets provide some indication of the expected path of oil prices, but outcomes could diverge materially as the conflict evolves. Measures of economic uncertainty are elevated in New Zealand and internationally, reflecting this risk (figure 2.4). Changes to the outlook for the conflict or differences in how global shocks transmit to the New Zealand economy relative to our assumptions could have material implications for monetary policy (see box A).

Global growth is expected to slow, and global inflation is expected to increase

In response to the conflict in the Middle East, New Zealand's trading-partner growth outlook has deteriorated since the February *Statement* (figure 2.5). Growth forecasts for many of New Zealand's Asian trading partners were revised higher at the start of the year. These upward revisions reflected strong demand for AI-related technology exports as well as less-severe impacts from US tariff policies than initially expected. Since the onset of the Middle East conflict, Consensus forecasts for trading-partner GDP growth have been revised lower for 2026 and 2027.

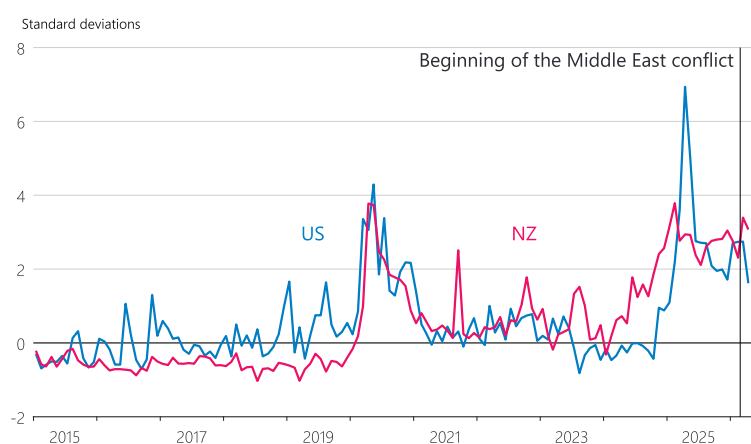
Trading-partner inflation is forecast to be materially higher than expected at the time of the February *Statement*. Consensus forecasts for annual trading-partner inflation have been revised from 2 percent in 2026 and 2027 at the time of the February *Statement* to 2.6 percent and 2.1 percent respectively (figure 2.6). These upward revisions to CPI inflation have been broad-based, although developed markets outside of Asia, such as Australia, the UK, euro area, and the US, have seen the largest increases in their inflation outlook (see chapter 3).

Figure 2.3
Dubai oil prices
(daily)



Source: Bloomberg, LSEG.

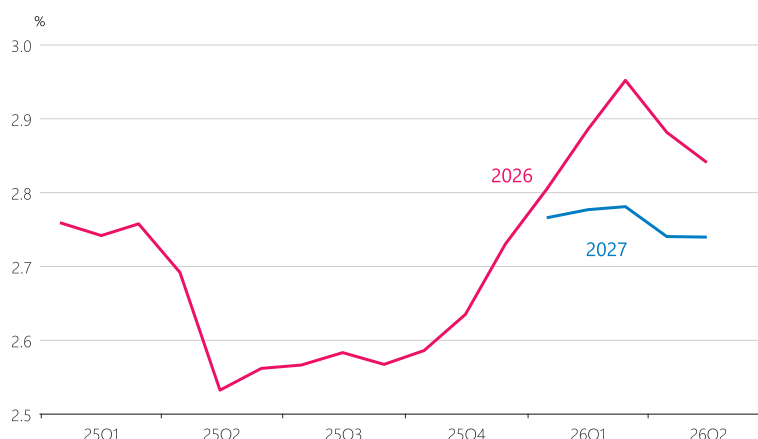
Figure 2.4
Economic policy uncertainty
(standardised)



Source: Sense Partners, Policyuncertainty.com, RBNZ estimates.

Note: All measures are standardised in their base frequencies from 1997 to their latest data point.

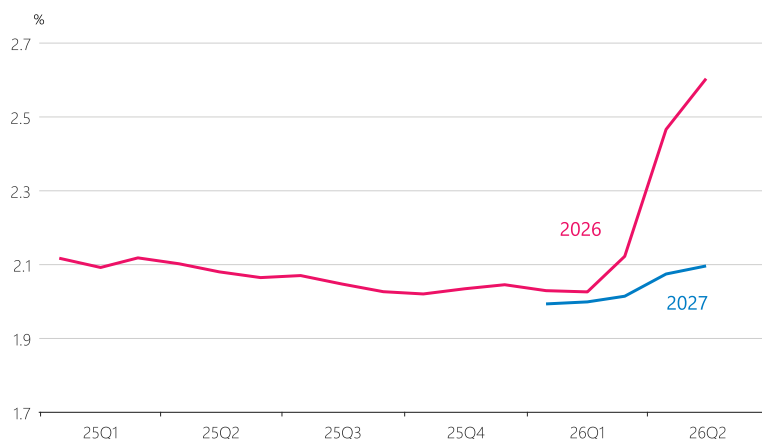
Figure 2.5
Consensus forecasts for global GDP growth
(annual, weighted by New Zealand trade)



Source: Stats NZ, Haver Analytics, Consensus Economics, Bloomberg, RBNZ estimates.

Note: Global GDP growth is based on 16 of New Zealand's largest trading partners.

Figure 2.6

Consensus forecasts for global CPI inflation*(annual, weighted by New Zealand trade)*

Source: Stats NZ, Haver Analytics, Consensus Economics, Bloomberg, RBNZ estimates.

Note: Global CPI inflation is based on 17 of New Zealand's largest trading partners.

There are downside risks to global growth and upside risks to global inflation.

Consensus forecast revisions have been relatively small to date and should be interpreted with caution. Forecasters have made only small adjustments to their central outlook in response to the conflict, while acknowledging the risk of more severe outcomes. Our central projection for GDP growth in New Zealand's trading partners is lower than Consensus expectations, and our central projection for trading-partner inflation is higher (see chapter 5).

Financial conditions have tightened**Interest rates have increased in advanced economies.**

Market expectations for policy rates have shifted materially higher in the US, Australia, and other advanced economies. Central banks have communicated a willingness to look through the direct inflationary effects of the Middle East conflict, but remain alert to more persistent or generalised inflationary pressure. Higher policy rate expectations have led to increases in government bond yields, particularly at shorter maturities.

Wholesale interest rates in New Zealand have also increased, reflecting higher expected policy rates in the near term and the rise in global bond yields at longer horizons.

Some of the increase in market-implied OCR expectations may reflect illiquidity in wholesale interest rate markets since the onset of the Middle East conflict. Market pricing for the OCR has shifted about 75 basis points higher, to around 3.5 percent by the end of 2026. Retail lending and deposit rates have also increased, albeit to a lesser extent (see chapter 3).

New Zealand is facing less favourable terms of trade

Higher fuel and non-fuel import prices are weighing on New Zealand's terms of trade (figure 2.7). In addition to higher fuel costs, New Zealand businesses are facing higher prices for fertiliser, petrochemicals, and petrochemical-derived products such as plastics. More generally, higher inflation in New Zealand's trading partners is expected to contribute to higher prices for a wide range of imported goods and services. The New Zealand dollar has depreciated on a trade-weighted basis since the February *Statement*, reflecting weaker risk sentiment in response to the Middle East conflict. If sustained, this will also contribute to higher import prices in New Zealand dollar terms.

Prices for some of New Zealand's commodity exports have been elevated, but are expected to fall as global demand slows. High global commodity prices for meat, dairy, and aluminium have supported New Zealand exporter incomes. Over the coming seasons, high fertiliser prices may provide further support to dairy and meat prices, while a weaker New Zealand dollar helps sustain New Zealand dollar incomes. However, weaker global demand is expected to outweigh these factors and weigh on export prices over the medium term.

Figure 2.7

New Zealand terms of trade (quarterly average)



Source: Stats NZ, RBNZ estimates.

Box A

Scenarios for the effect of the Middle East conflict on New Zealand

The outlook for economic activity and inflationary pressure in New Zealand is conditional on many factors, including the evolution of the Middle East conflict and its impacts on the global and domestic economies. The evolution of the conflict, its implications for global economic conditions, and outcomes for New Zealand are highly uncertain. Scenario analysis helps us test the sensitivity of our economic outlook to the assumptions we have made regarding:

- the extent and duration of the conflict's effects on global fuel prices and broader global supply chains;
- the effect on demand in New Zealand and our major trading partners; and
- the extent to which higher costs feed into domestic price- and wage-setting behaviour.

We consider three scenarios that illustrate how the economy could evolve very differently than assumed in the central projection (table A.1).

- **Scenario 1** assumes that the conflict escalates, leading to a more sustained disruption to global oil supply. Oil prices increase and remain higher for longer, increasing inflation in the near term. Firms' price-setting behaviour becomes more sensitive to higher inflation, resulting in stronger second-round price effects.
- **Scenario 2** assumes the same conflict conditions and oil prices as in scenario 1. However, in this scenario, firms reduce the extent of price increases, absorbing more of the higher costs into their margins. Higher inflation does not become embedded in price- and wage-setting behaviour over the medium term. This moderates inflationary pressure, resulting in a lower OCR and stronger growth outcomes in New Zealand, relative to scenario 1.
- **Scenario 3** assumes global oil prices decline in line with the central projection, but the conflict has a larger negative impact on global and domestic demand. This prevents firms from passing on higher costs.

This box presents just three of many plausible paths for the domestic economy in the context of the ongoing conflict. The scenarios have been chosen to illustrate key uncertainties around the projection. The outlook for the Middle East conflict and associated global conditions is one source of uncertainty. How the global shock influences price-setting behaviour and demand in the domestic economy is another.

Any combination of new shocks or altered transmission paths could result in a different outlook for inflationary pressure and monetary policy in New Zealand. The scenarios presented in this box consider ways in which economic outcomes could deteriorate, but it's also possible that economic conditions could improve. For example, if the conflict resolves quickly and oil supply resumes more rapidly than assumed, inflationary pressures could ease and the growth outlook strengthen.

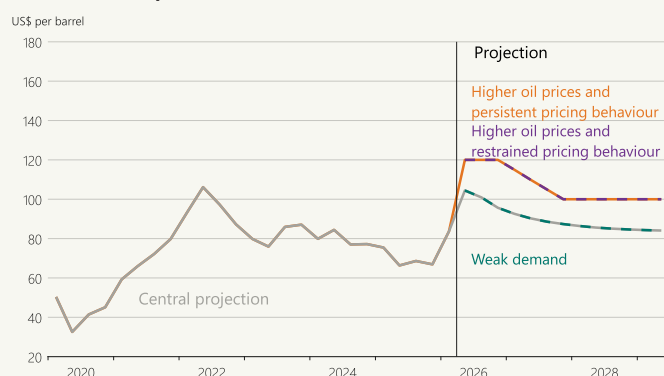
Scenario 1: Higher global oil prices and persistent pricing behaviour

In this scenario, the conflict lasts longer than assumed in the central projection and results in a more persistent disruption to global oil supply. The price of Dubai oil rises to US\$120 per barrel in mid-2026 and remains elevated for an extended period (figure A.1). Firms are assumed to respond to higher inflation by pre-emptively and opportunistically raising their prices in a coordinated manner, increasing the near-term indirect effects of the shock and making price pressures more persistent through stronger second-round price effects. CPI inflation rises to 5.8 percent (figure A.2). The OCR needs to increase quickly to offset persistent additional inflationary pressure, peaking at 4.3 percent (figure A.3). Higher prices and restrictive monetary policy result in a much weaker growth and employment outlook (figure A.4).

Scenario 2: Higher global oil prices and restrained pricing behaviour

In this scenario, conflict and oil supply conditions are the same as in scenario 1, but price-setters are more restrained. Businesses pass on higher costs to their customers, but more gradually and to a lesser extent. Inflation still rises rapidly, reflecting the direct and indirect effects of higher fuel prices in the near term. However, an adverse cycle of higher prices is avoided, and near-term inflationary pressures do not become as persistent. The OCR needs to increase by less than in the scenario with persistent pricing behaviour, peaking at 3.6 percent. Lower inflation and a lower OCR result in a more rapid improvement in growth and employment outcomes for New Zealand compared to scenario 1.

Figure A.1
Dubai oil price

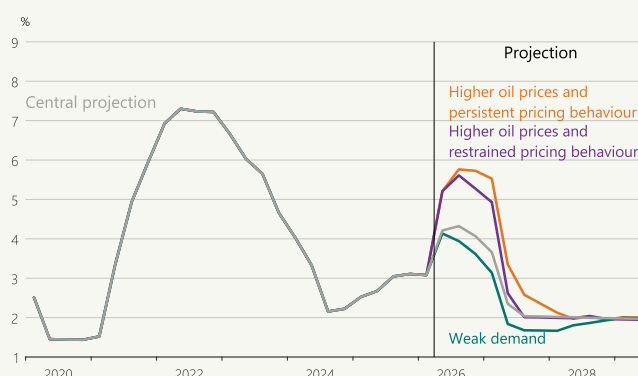


Source: LSEG, RBNZ estimates.

Scenario 3: Weaker global oil prices and domestic demand

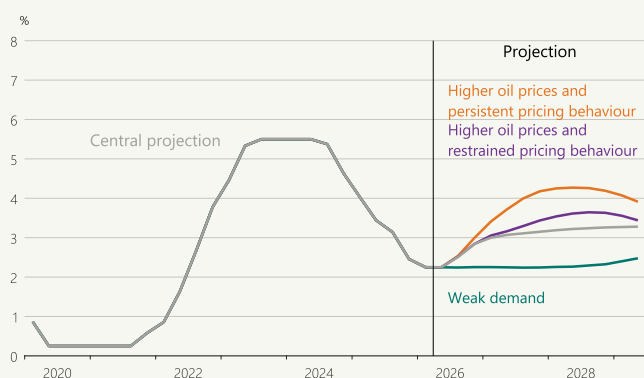
In this scenario, global fuel prices decline in line with the central projection, but the conflict has a larger negative impact on global and domestic demand. Weaker global demand leads to lower New Zealand export volumes. Precautionary behaviour and uncertainty about the outlook for employment and real incomes causes households to save. Weaker demand prevents firms from passing on higher costs, and compressed profit margins prevent firms from offering higher wages. Spare capacity and unemployment increase (figure A.4). In this scenario, CPI inflation falls quickly back within the target band as oil prices decline. Monetary policy remains accommodative to prevent further deterioration in demand conditions, and to ensure inflation settles sustainably near the 2 percent inflation target mid-point.

Figure A.2
CPI inflation
(annual)



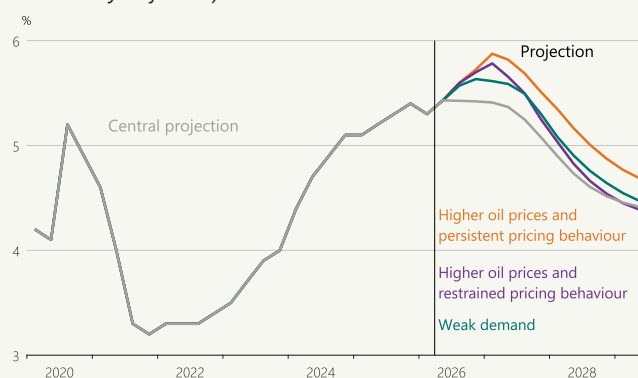
Source: Stats NZ, RBNZ estimates.

Figure A.3
Official cash rate



Source: RBNZ estimates.

Figure A.4
Unemployment rate
(unemployed people as a share of the labour force, seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

Table A.1

Key scenario assumptions

	Scenario 1 and 2: Higher global oil prices	Scenario 3: Weaker global and domestic demand
Conflict and oil prices	- Conflict lasts through 2026. - Dubai crude oil prices rise to US\$120 per barrel for the remainder of 2026 and remain persistently higher.	Same as central projection. Conflict resolves over 2026, and oil prices decline in line with risk-adjusted futures pricing.
World economy	- Global growth slows by more than in the central projection in response to higher fuel prices and heightened uncertainty. - Export prices and volumes are materially weaker than in the central projection. - Non-oil import prices are higher.	- Global growth slows by more than in the central projection, reflecting a proportionally larger negative demand response to a given oil price shock. - Export prices and volumes are slightly weaker than in the central projection. - Non-oil import prices are lower.
Domestic economy	Scenario 1 - Indirect effects on inflation are proportionally larger than in the central projection. - Higher inflation becomes partially embedded in price- and wage-setting behaviour. - Higher prices cause real incomes to fall, and demand to weaken. Scenario 2 - Indirect effects on inflation are proportionally smaller than in the central projection. However, aggregate inflation is still higher, reflecting the larger overall size of the shock. - Inflation expectations remain anchored, and wage growth remains modest. - Higher inflation does not become persistently embedded in price- and wage-setting behaviour.	- Precautionary households significantly reduce their real consumption. Firms reduce their labour force in the face of weak demand and low profitability, resulting in persistently higher unemployment. - Substantial spare capacity dampens wage growth and limits firms' ability to pass on higher costs to prices. Second-round price effects are weaker than in the central projection.
Monetary policy	Scenario 1 - Monetary policy reacts to offset higher inflationary pressure. - The OCR rises to around 4.3 percent in the medium term. Scenario 2 - Monetary policy response is moderated relative to scenario 1. - The OCR rises to around 3.6 percent in the medium term.	- Monetary policy remains accommodative in response to weaker inflationary pressure. - The OCR remains on hold at 2.25 percent in the near term.

The conflict will have wide-ranging impacts on inflation and growth in New Zealand

The Middle East conflict will affect inflationary pressure in New Zealand through a range of trade, financial market, and uncertainty channels. To better explain our assumptions about the implications of the conflict for inflation in New Zealand, we classify the effects into four broad categories:

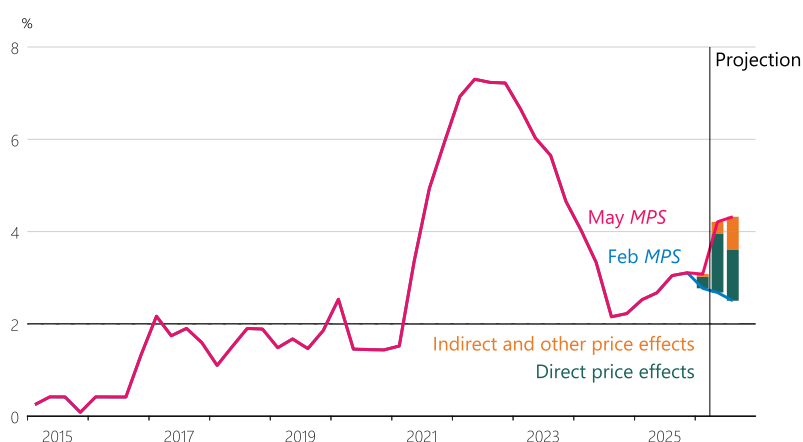
- **First-round direct effects** describe the immediate impact of changes in global oil prices on petrol and diesel prices in the CPI.
- **First-round indirect effects** describe changes in the prices of other goods and services in the CPI that use directly affected goods as inputs.
- **Second-round demand effects** describe how reduced household and business spending increases spare capacity, dampening inflationary pressure.
- **Second-round price effects** describe the way in which higher prices in the near term propagate through the economy over the medium term via price- and wage-setting behaviour. Second-round price effects also include the medium-term impact of generalised global inflationary pressure and a weaker New Zealand dollar on import costs and domestic prices.

The effect of the Middle East conflict on medium-term inflationary pressure will depend on the balance between inflationary second-round price effects and disinflationary second-round demand effects.

First-round direct and indirect effects will contribute to higher inflation in 2026

The Middle East conflict will result in materially higher near-term CPI inflation in New Zealand. Higher global oil prices have increased inflation in New Zealand directly, through higher prices for petrol, diesel, and other petroleum-based products, and indirectly, through higher input costs faced by businesses (figure 2.8). Annual headline inflation was 3.1 percent in the March quarter and is projected to increase to 4.3 percent in the September 2026 quarter, based on current oil futures market pricing. Annual headline inflation would have been 3.0 percent in the March 2026 quarter, if the January 2025 increase in vehicle licensing fees had been correctly captured in the March 2025 quarter CPI release.²

Figure 2.8
CPI inflation contributions
(annual)



Source: Stats NZ, RBNZ estimates.

² The January 2025 vehicle licensing fee increase was erroneously omitted from the March 2025 quarter CPI and instead included in the June 2025 quarter release. This means annual CPI inflation in the March 2026 quarter was 0.1 percentage point higher than it would have been.

Tradables inflation is projected to increase in the near term.

Annual tradables inflation decreased slightly to 2.5 percent in the March 2026 quarter, but was higher than forecast in the February *Statement*. Higher-than-expected tradables inflation in the March 2026 quarter can largely be attributed to the direct effect of higher petrol and diesel prices in the month of March. Annual tradables inflation is projected to increase to 5.6 percent in both the June and September 2026 quarters, reflecting higher quarterly average fuel prices and significant indirect effects on other prices, particularly food and international travel.

Non-tradables inflation is also expected to be impacted by the Middle East conflict, though to a lesser extent.

Annual non-tradables inflation remained stable at 3.5 percent in the March 2026 quarter, slightly higher than the February *Statement* projection. Elevated non-tradables inflation prior to the conflict mostly reflects high administered price and energy inflation.³ The Middle East conflict likely had negligible impact on non-tradables inflation in the March 2026 quarter. Whereas fuel prices tend to adjust very rapidly in response to a change in oil prices, other prices generally respond with some delay. We expect indirect effects of the conflict to begin contributing to non-tradables inflation from the June 2026 quarter. Annual non-tradables inflation is expected to remain around 3.5 percent over 2026, as the indirect effect of higher fuel prices on items including domestic airfares, other transport, and construction are offset by declining inflation in other non-tradable components.

Second-round demand effects will dampen economic growth**Household consumption is expected to remain subdued in 2026, as higher fuel prices reduce real disposable incomes and weigh on household confidence.**

Some households may maintain spending on other goods and services despite higher fuel prices by drawing on savings. However, higher mortgage rates may limit households' willingness to take on new lending, and uncertainty about the labour market may lead to more cautious behaviour. Many households will respond to higher living costs and uncertainty by reducing their spending on non-essential goods and services. While evidence from the Retail Trade Survey suggests that consumption was recovering in the March 2026 quarter, both electronic card transaction data and recent business engagements indicate that demand for non-essential goods is slowing (see box B).

Businesses are expected to delay investment, reflecting heightened uncertainty, weaker demand, and compressed margins.

Many firms are reporting that they have been unable to pass on the full extent of input cost increases to selling prices, impacting profitability. Reduced margins, lower consumer demand, and heightened uncertainty about the economic outlook may lead firms to delay or scale back investment, despite recently strong export revenues. Over the medium term, investment is projected to recover as activity strengthens and uncertainty eases.

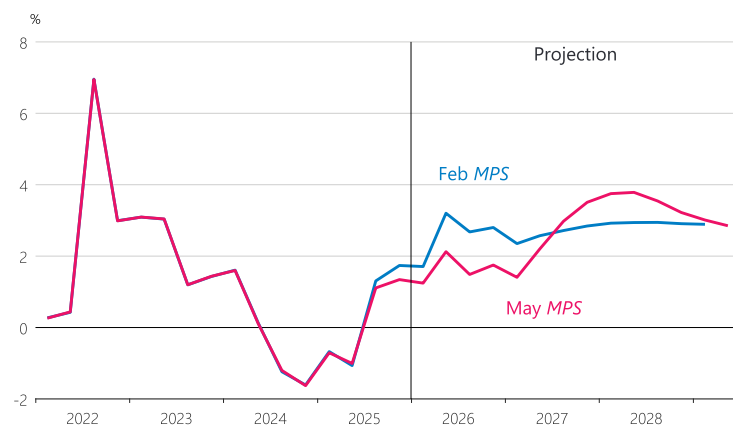
The expected recovery in residential investment may be delayed.

The Middle East conflict has increased the cost of construction via higher prices for diesel and materials. High uncertainty and increasing mortgage rates are expected to dampen house price growth, reducing the incentive to build new houses.

3 Administered prices are based on the 'central and local government charges' series produced by Stats NZ. It incorporates a wide range of prices set or heavily influenced by central or local government. Stats NZ updated the methodology for the 'central and local government charges' series in the March 2026 quarter to better reflect current government charges, most notably removing electricity prices. Stats NZ currently publishes both the old series and the updated series.

Figure 2.9

Production GDP growth (annual)

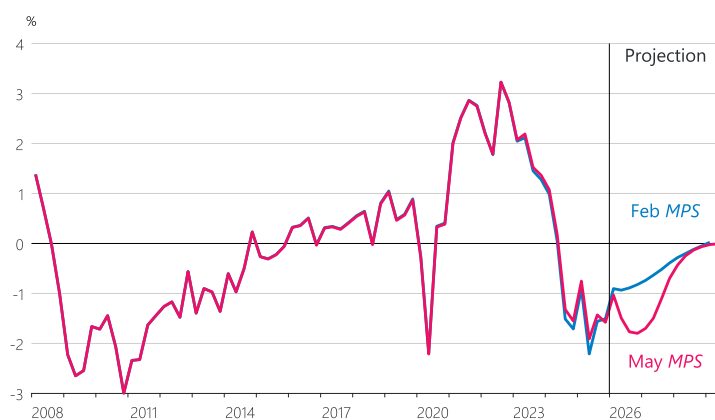


Source: Stats NZ, RBNZ estimates.

Figure 2.10

Output gap

(share of potential, seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

The near-term growth outlook is weaker than previously assumed. Taken together, weaker consumption and investment mean that annual GDP growth is expected to be 0.9 percentage points lower in the year to the December 2026 quarter relative to the February *Statement*.

Spare capacity will persist for longer

There is significant spare capacity in the domestic economy. Before the onset of the Middle East conflict, a range of indicators suggest that spare capacity was being gradually absorbed (see chapter 4.2). In the February *Statement*, we projected that a gradual recovery in demand, supported by low interest rates, would continue to reduce spare capacity. However, the Middle East conflict is expected to materially delay the economic recovery, and spare capacity is projected to persist. The output gap is estimated to be around -1.5 percent of potential output in the June 2026 quarter, and is expected to remain at or below that level for another year (figure 2.10). The output gap is projected to recover in the latter half of the projection as inflation falls, real income growth recovers, and uncertainty fades.

New Zealand's supply capacity is growing slowly. Low investment, slow population growth, and weak productivity growth have all contributed to low potential output growth in recent years. This constrains the rate at which the economy can grow without contributing to inflationary pressure. However, net immigration has increased materially since late 2025, which will increase the labour force and contribute to higher potential growth if sustained.

Figure 2.11

Unemployment rate*(unemployed people as a share of the labour force, seasonally adjusted)*

Source: Stats NZ, RBNZ estimates.

Spare capacity in the labour market is projected to persist.

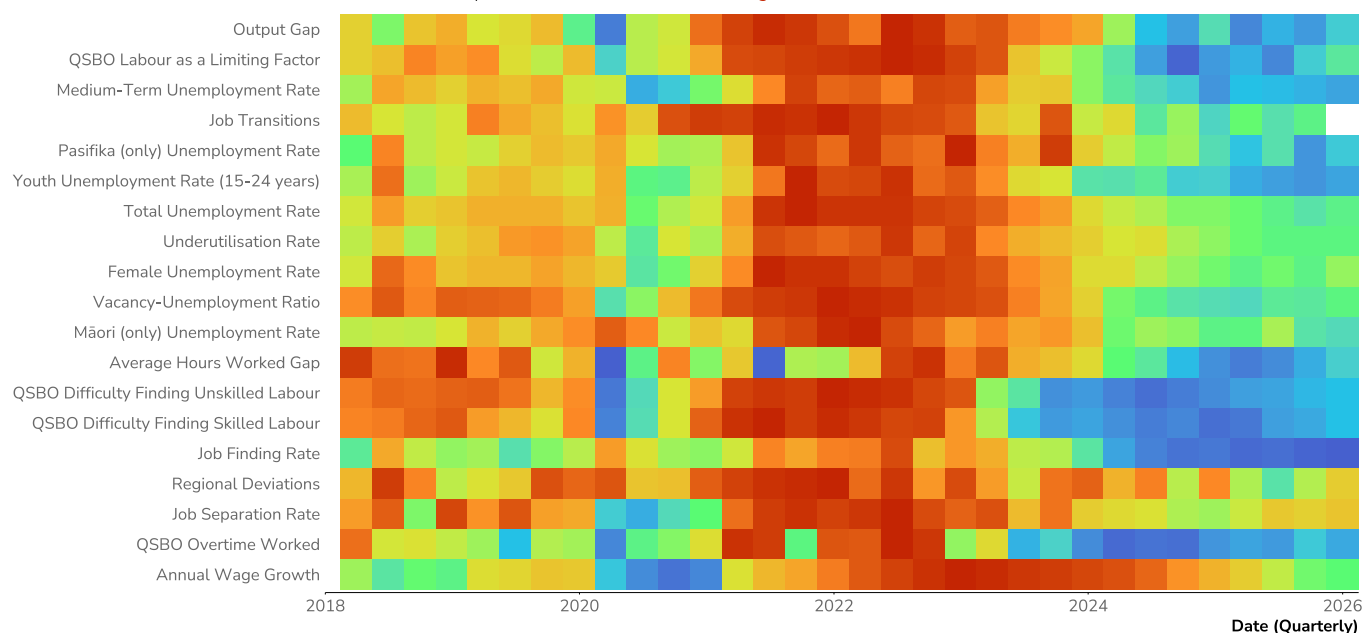
Recently, labour market conditions have shown signs of stabilising. The unemployment rate decreased to 5.3 percent in the March 2026 quarter (figure 2.11). Employment grew modestly, while labour force participation declined. Total hours worked grew strongly for the third consecutive quarter. Most measures of labour market tightness remain at levels consistent with substantial spare capacity (figure 2.12).

Elevated unemployment is projected to persist for longer than assumed in the February Statement. Low profitability, spare capacity, and heightened uncertainty about the outlook will make businesses cautious about taking on new workers. Meanwhile, recovering migration flows are adding to population and the labour force.

Figure 2.12

Labour market indicators

Fill colour shows the standardised value for each variable compared to the **weakest**, **median** & **strongest** since 2000.



Sorted by rank correlation with output gap, top (highest) to bottom (lowest).

Source: Stats NZ, NZIER, MBIE, RBNZ estimates.

Note: See Ball (2024), [Assessing and communicating labour market indicators of inflationary pressure](#).

Box B

Summary of recent business visits

We regularly meet with a range of businesses to improve our industry knowledge and understanding of economic conditions. In the last several months, Reserve Bank and Treasury staff have spoken with businesses and industry organisations across New Zealand.

Overall, businesses reported that demand and activity have flattened and uncertainty is high.

Primary exporters continue to benefit from elevated export prices, strong overseas demand, and a lower New Zealand dollar. We heard that elevated payouts and revenues are being used to reduce debt, dampening the spillover to demand in the economy more broadly. After early signs of recovery at the start of the year, retail, hospitality, tourism, and residential construction firms reported a weakening of demand and reduced discretionary spending following the onset of the Middle East conflict. Since fuel prices have risen, consumers are showing heightened price sensitivity, substituting towards cheaper products and away from discretionary purchases.

At this stage, the businesses we spoke to report minimal global supply chain disruptions, and sufficient freight availability; however, this is dependent on the ongoing availability of fuel. Businesses did not report shortages of building materials, fertiliser, or other inputs to production. Construction, agriculture, and tourism firms noted that, because we are moving into their quieter season, demand for productive inputs is lower, limiting supply constraints in the near term.

Businesses noted increasing cost pressures and squeezed margins. Fuel costs have increased significantly due to the Middle East conflict, and many businesses reported that they are either applying a temporary fuel surcharge to customers or paying one to suppliers. Most firms are absorbing at least part of the direct fuel cost increase, which is reducing profit margins.

Conflict-related cost increases are broad-based, as the closure of the Strait of Hormuz is re-routing some shipping lines and increasing freight costs.

This means the cost of other imported goods is also rising. Businesses reported that other costs have also continued to rise, including electricity, insurance, and council rates.

Weak demand is preventing some firms, particularly in retail and hospitality, from passing on costs to customers, resulting in further margin pressures. Some import and freight companies set prices on fixed contracts, so it has taken some time for conflict-related increases to flow through. Other firms in retail have more flexibility in setting prices, although in some cases are facing weak demand so these firms are less willing to increase prices.

Labour market conditions remain weak, while wage growth is mixed. Some businesses had reduced their headcount in the last year, while other businesses would consider reductions if the Middle East conflict was prolonged, expecting weaker demand and higher costs for an extended period. Wage pressures were mixed across businesses. On one hand, soft labour market conditions, higher non-labour costs, and prioritisation of job security are dampening wage inflation pressures. On the other hand, cost-of-living adjustments and higher inflation expectations may mean that some workers bargain for higher wages.

Investment intentions are subdued as uncertainty is weighing on firms' confidence. Businesses reported that broader long-term investment plans were going ahead. However, some businesses are looking for ways to cut costs due to the conflict and may scale back investment where possible. Businesses that reported intentions to invest tended to be those with larger balance sheets. These businesses are focusing on productivity enhancements and technology, with some interest in artificial intelligence.

Overall, feedback from businesses is consistent with our assumptions about the impact of the Middle East conflict on the New Zealand economy in the near term, although the overall magnitude is uncertain. Our central projection assumes that some households reduce discretionary spending, and that business investment will decline in the June 2026 quarter. Indirect effects of higher fuel prices are expected to emerge across a range of goods and services with significant fuel exposure over coming months.

Spare capacity is assumed to moderate second-round price effects

Spare capacity in the labour market is expected to limit wage growth. Nominal wage inflation has been declining as the labour market has weakened (figure 2.13). Annual private sector wage inflation was 2.0 percent in the March 2026 quarter, consistent with medium-term price stability. Annual public sector wage growth has been declining and was 1.7 percent in the March quarter. Over 2026, higher living costs mean that real wages are falling. In some circumstances, workers might respond to high inflation by bargaining for higher wages, which could result in inflationary pressure being more persistent. However, unemployment is projected to remain elevated, and fewer people than usual are changing jobs. These factors will limit the extent to which employees can successfully bargain for higher wages.

All measures of core inflation that we regularly monitor are within the MPC's target range for headline inflation. Of the five measures we monitor, four decreased in the March 2026 quarter, while one increased. On average, these measures indicate that annual core inflation was about 2.3 percent (figure 2.14).

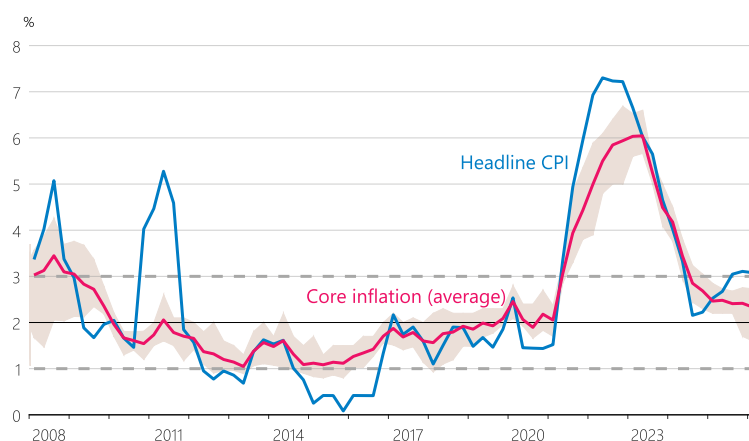
There may be some spillover from temporarily higher headline inflation to core inflation. Oil-derived products are an important input into the production of many goods and services, and cost pressures are emerging across a wide range of products. However, substantial spare capacity is expected to materially constrain the extent of any increase. Core inflation is expected to remain within the MPC's 1 to 3 percent target range for CPI inflation, with headline inflation converging towards core inflation in the latter half of the projection as the first-round effects of the Middle East conflict on inflation dissipate.

Figure 2.13
Private sector LCI wage inflation
(annual)



Source: Stats NZ, RBNZ estimates.

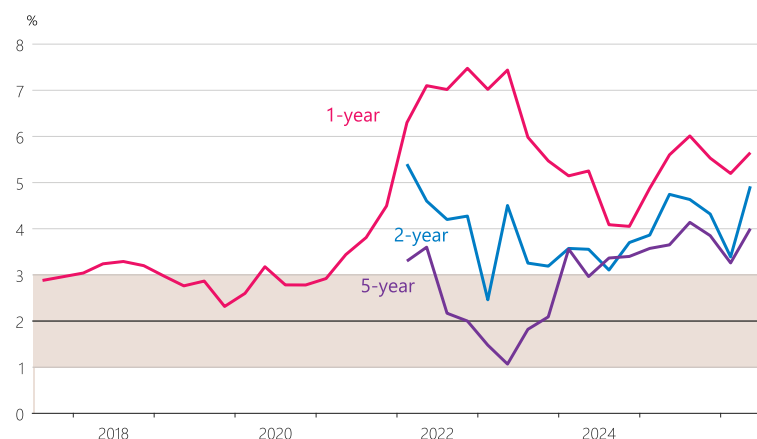
Figure 2.14
Headline and core inflation measures
(annual)



Source: Stats NZ, RBNZ estimates.

Note: The dashed lines represent the MPC's 1 to 3 percent target range for inflation over the medium term. The shaded area shows the range of core inflation measures. The core inflation measures include the sectoral factor model, factor model, trimmed mean (30%), weighted median, and CPI excluding food and energy.

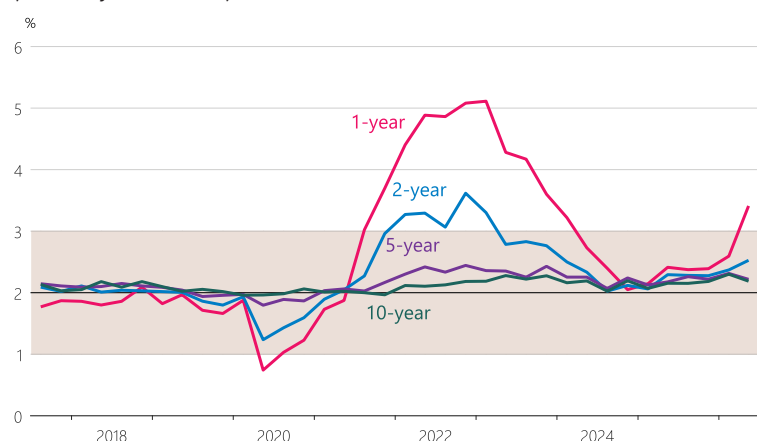
Figure 2.15
Inflation expectations of households
(annual, years ahead)



Source: RBNZ Tara-ā-Whare – Household Expectations Survey.

Note: The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

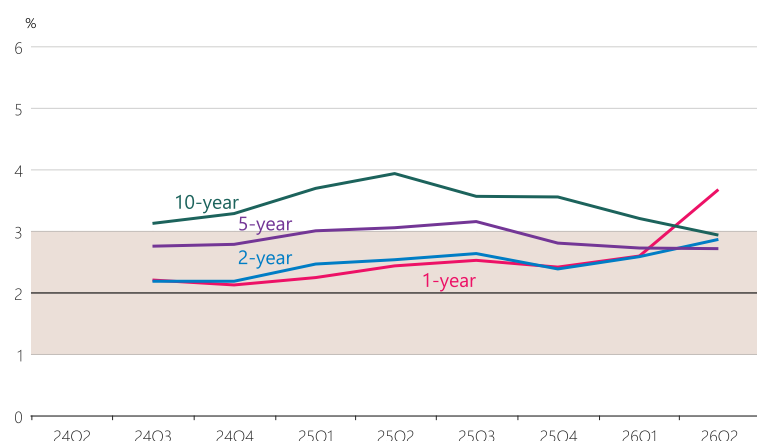
Figure 2.16
Inflation expectations of professional forecasters and business leaders
(annual, years ahead)



Source: RBNZ Survey of Expectations.

Note: The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

Figure 2.17
Inflation expectations of businesses
(annual, years ahead)



Source: RBNZ Tara-ā-Umanga – Business Expectations Survey.

Note: The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

Expectations for inflation one year ahead have increased materially in the June 2026 quarter across households, businesses, and professional forecasters (figures 2.15, 2.16, and 2.17). These increases are consistent with a large salient price shock and are of a magnitude that is consistent with our June 2026 quarter forecast for CPI inflation, assuming the typical relationship between actual and expected inflation (see [chapter 4.2 of the August 2025 Statement](#)).

Longer-term inflation expectations of businesses and professional forecasters have been stable or declining, while household inflation expectations increased.

Five-year ahead inflation expectations of households increased in the latest quarter. Five- and ten-year ahead inflation expectations of professional forecasters and business leaders in the Survey of Expectations (SOE) declined slightly in the June 2026 quarter, and are close to the 2 percent target mid-point for inflation. In 2024, the Reserve Bank of New Zealand introduced the Tara-ā-Umanga – Business Expectations Survey, which covers a much larger and more representative sample of New Zealand businesses than the SOE. It suggests that longer-horizon inflation expectations are declining. However, the relatively short history of these data limits interpretability.

Inflation is projected to return to near the target mid-point in 2027

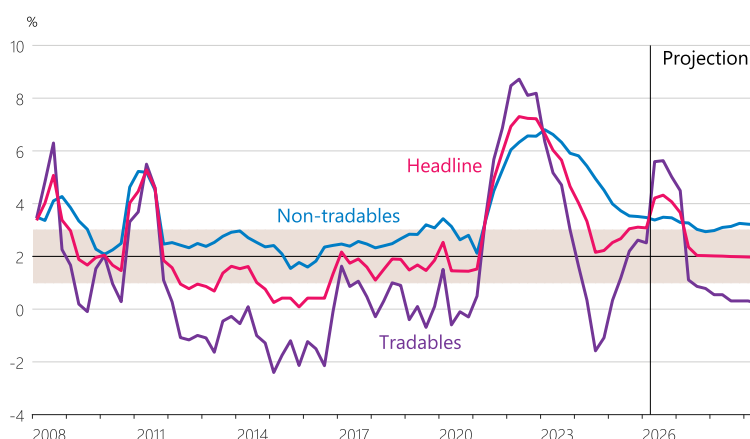
Annual CPI inflation will fall when the initial increase in fuel prices drops out of the annual calculation. Retail petrol and diesel prices are projected to continue to decline across the remainder of the year, in line with futures market pricing. If petrol and diesel prices decline as expected, annual tradables inflation will decline quickly. Even if fuel prices were to remain around current high levels, annual inflation will fall once the June 2026 quarter increase drops out of the calculation.

Headline inflation is projected to return to the 2 percent target mid-point next year.

Significant spare capacity will continue to limit the extent to which costs can be passed on to prices and limit wage growth, supporting a gradual decline in non-tradables inflation. Tradables inflation is assumed to return to around historical average rates once fuel price increases drop out of the annual calculation. Monetary policy will respond as required to offset any additional medium-term inflationary pressures and ensure that inflation settles sustainably near the 2 percent target mid-point in the medium term.

Figure 2.18

Headline, tradables, and non-tradables inflation (annual)



Source: Stats NZ, RBNZ estimates.

Note: The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.



Monetary policy outlook

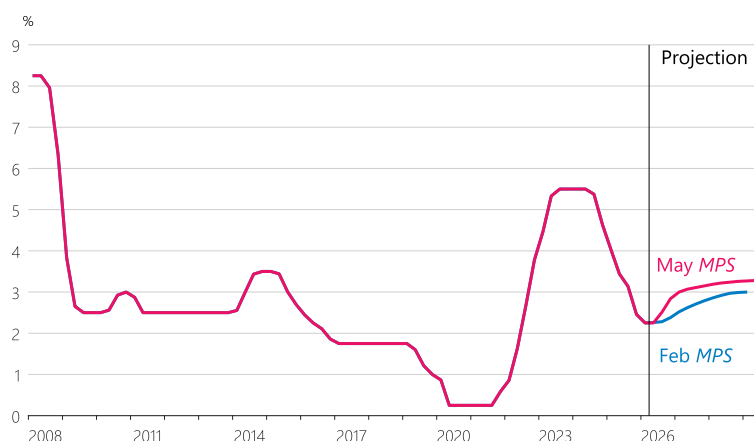
Conditional on the central economic outlook, we project that the OCR will increase this year to ensure that inflation settles sustainably near the 2 percent target mid-point in the medium term (figure 2.19).

Compared to the February *Statement*, the OCR is projected to increase sooner and by more. This reflects higher medium-term inflationary pressure arising from the Middle East conflict. The near-term increase in inflation due to higher fuel prices is assumed to be temporary, and to partially reverse over the projection. However, we assume that there will be smaller but more persistent second-round effects on medium-term inflationary pressure. The pace of OCR increases will depend on the relative influence of persistent wage- and price-setting behaviour versus weaker economic activity on medium-term inflation pressures.

Figure 2.19

OCR

(quarterly average)



Source: RBNZ estimates.

Chapter

03

Global economy and financial markets



Chapter 3.

Global economy and financial markets



Key points

Before the Middle East conflict, global growth had been stronger than previously assumed. New Zealand's trading-partner growth rose by more than expected at the February *Statement*, reaching 3.2 percent in the year to the March 2026 quarter, as growth in Asia was buoyed by AI-related export demand.

Inflation has continued to increase in trading-partner economies. Annual trading-partner CPI inflation rose to 2.2 percent in the March 2026 quarter, continuing its upwards trend since the June 2025 quarter.

The Middle East conflict presents downside risks to global activity and upside risks to inflation. New Zealand's Asian trading partners are particularly exposed to higher imported energy costs. This exposure is partly offset by fiscal support, large oil reserves, and regulated or subsidised retail energy prices. The region also continues to benefit from AI-related export demand. Compared to the February *Statement*, our central projection assumes that trading-partner growth is 0.2 percentage points lower on average over 2026, while trading-partner inflation is 0.7 percentage points higher over the same period.

Higher expected inflation has led to expectations for tighter monetary policy in many advanced economies. Government bond yields have increased materially across all maturities, and most sharply at shorter maturities.

Energy prices are elevated and are expected to remain higher than previously anticipated over the medium term. Crude oil prices are 45 to 60 percent higher than at the time of the February *Statement*, while refined fuels like diesel, petrol, and jet fuel have increased in price even more. Futures markets imply that crude oil prices are expected to decline over time, but remain 20 to 30 percent higher over the medium term compared to before the outbreak of conflict in the Middle East. European and Asian natural gas prices have increased by 60 to 90 percent.

Domestic financial conditions have tightened since the February *Statement* due to higher interest rates as a result of the Middle East conflict. The 2-year swap rate has increased by around 50 basis points to 3.6 percent since the February *Statement*. Wholesale and retail rates have increased, with wholesale rates increasing by more than retail rates. The average yield on total mortgage lending is likely to increase this year, tightening financial conditions via the cashflow channel.

Global economic conditions

Before the Middle East conflict, global growth had been resilient and inflation was increasing

Growth among New Zealand's trading partners was stronger than expected at the start of 2026. Global economic activity was resilient to headwinds from higher US tariff policies and elevated uncertainty over 2025 and the March 2026 quarter. Annual trading-partner growth is estimated to have been 3.2 percent in the year to the March 2026 quarter (figure 3.1). Growth amongst our developed Asian trading partners was stronger than anticipated at the time of the February *Statement*, with the region benefiting from increased export demand for AI-related technology products. Additionally, in Australia and the US, AI-related investment, resilient household consumption, and accommodative fiscal policy have supported economic activity in the March 2026 quarter.

Trading-partner inflation was already increasing before the Middle East conflict.

Annual trading-partner CPI inflation increased from 1.6 percent in the June 2025 quarter to 2.2 percent in the March 2026 quarter (figure 3.2). There has been a range of drivers for this increase in inflation in some of our major trading partners. In the US, the pass-through of tariffs into consumer prices has put upwards pressure on inflation, though is estimated to have largely run its course. Australia is facing domestic capacity pressures, a relatively tight labour market, and robust GDP growth aided by strong business investment. In China, annual inflation averaged 0.8 percent over the March 2026 quarter, up from an average of 0 percent in 2025. This was largely due to higher food prices and seasonality around the timing of the Lunar New Year.

Figure 3.1

Trading-partner GDP growth (annual)

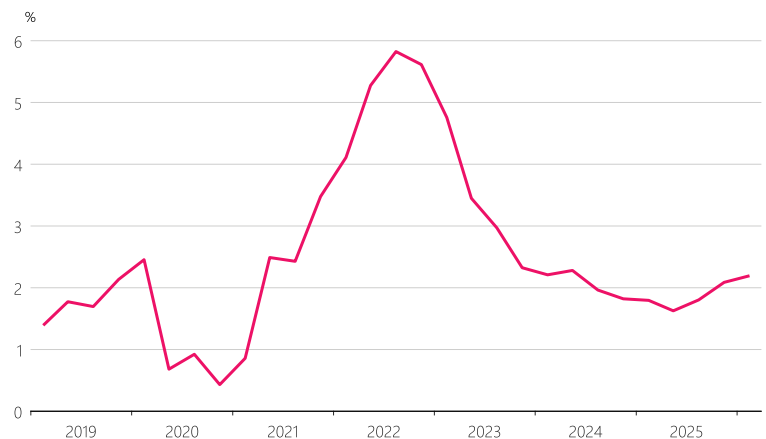


Source: Stats NZ, Haver Analytics, Bloomberg, RBNZ estimates.

Note: The trading-partner aggregate is based on 16 of New Zealand's largest trading partners.

Figure 3.2

Trading-partner inflation (annual)



Source: Stats NZ, Haver Analytics, RBNZ estimates.

Note: The trading-partner aggregate is based on 17 of New Zealand's largest trading partners.

The Middle East conflict presents downside risks to global activity and upside risks to inflation

High-frequency indicators point to a deterioration in global growth and confidence since the start of the Middle East conflict. Global purchasing managers' indices (PMIs) suggest firms are facing higher input prices and longer delivery times. Reported activity growth in the services sector has declined in many economies. Manufacturing activity has been less affected, reflecting continued demand for AI-related goods. Consumer and business confidence has also weakened in recent months, with most measures below their historical averages.

The outlook for the global economy remains highly uncertain. New Zealand's Asian trading partners are particularly exposed to higher imported energy costs. In many cases fiscal support, large oil reserves, and regulated or subsidised retail energy prices should help dampen the immediate impact on households and firms. The region also continues to benefit from AI-related export demand, which does not appear to have been materially affected by the economic effects of the Middle East conflict. Among New Zealand's other major trading partners, the US, Australia, and Canada are net energy exporters, reducing the downside activity effects of the shock relative to more energy-import-dependent economies.

Our central projection assumes that trading-partner growth is 0.3 percentage points lower on average over 2026 and 2027, while trading-partner inflation is 0.7 percentage points higher over the same period. To inform our assumptions, we have assessed a range of estimates from Bloomberg consensus forecasts, the International Monetary Fund, and a variety of internal modelling approaches (see chapter 5). Our central projection assumes that in 2026, trading-partner growth is 2.6 percent while inflation is 2.7 percent. Growth is assumed to improve slightly to 2.7 percent in 2027, while inflation remains elevated at 2.7 percent. These projections are subject to considerable uncertainty, and there remains a wide range of possible outcomes for the conflict in the Middle East and associated macroeconomic impacts.

Energy prices are elevated, but futures pricing indicates that market participants expect prices to decline

Energy commodity prices have increased significantly since the February Statement. Crude oil prices are 50 to 60 percent higher across the major international benchmarks, while natural gas prices in Asia and Europe have increased by 60 to 90 percent. New Zealand does not import natural gas and is therefore not directly exposed to this price increase, but many of our trading partners in Europe and Asia will be affected.

Dubai crude oil, the most relevant benchmark for New Zealand and many of its trading partners, initially rose more than other benchmarks due to concerns of acute supply disruptions in the Middle East. However, the price of Dubai crude has moved closer to other oil benchmarks as supply has been redirected from other regions and global inventories have been drawn down. Adjusted for inflation, Dubai crude oil prices remain below peaks reached during previous periods of elevated energy prices but are high relative to historical levels (figure 3.3).

Refined fuel prices have increased by more than crude oil prices. Prices for refined products, including diesel, petrol, and jet fuel, have increased more sharply than crude oil prices, due to reduced refinery capacity in the Middle East and lower refined fuel output globally. After rising about 120 percent early in the conflict, Singapore refined fuel prices are currently about 60 percent higher than before the conflict (figure 3.4).

Futures prices imply material declines in energy prices over the coming months, though prices over the medium term are higher than at the time of the February Statement. Oil and gas futures imply a 20 to 30 percent decline from current prices in the next twelve months, with the majority of this occurring within the next six to ten months. However, longer-dated futures contracts imply that energy prices are expected to be around 20 to 40 percent higher on average over 2027 relative to the conflict.

The Middle East conflict has increased prices of many non-energy commodities

Around a quarter to a third of globally traded nitrogenous fertiliser is exported via the Strait of Hormuz. Disrupted supply has led to a large spike in fertiliser prices, with urea rising 80 percent and diammonium phosphate rising 16 percent from February to April. China and Russia have also restricted fertiliser exports, further tightening supply conditions. Food prices have increased slightly since the onset of the conflict, but broader increases may emerge if fertiliser supply remains compromised during periods of seasonally higher demand in Asia over the June to August period and later in the year.

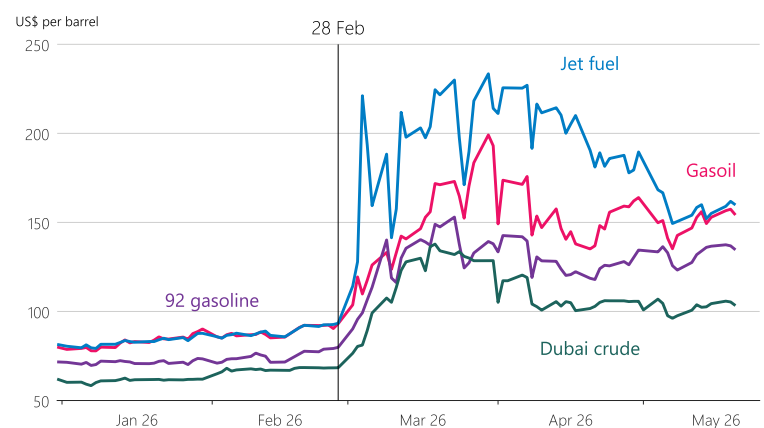
The Middle East also supplies a large portion of global plastic feedstock, helium, and sulphur, which are crucial inputs into a range of industrial processes. Higher prices for these input goods could put upward pressure on goods prices and compress producer profit margins in New Zealand and trading-partner economies.

Figure 3.3
Dubai crude oil price
(real, December 2025 dollars)



Source: Haver Analytics, LSEG.

Figure 3.4
Oil and Singapore refined product prices
(nominal, 1-month futures)



Source: Bloomberg.

Global financial conditions

Interest rates have increased globally since the February Statement

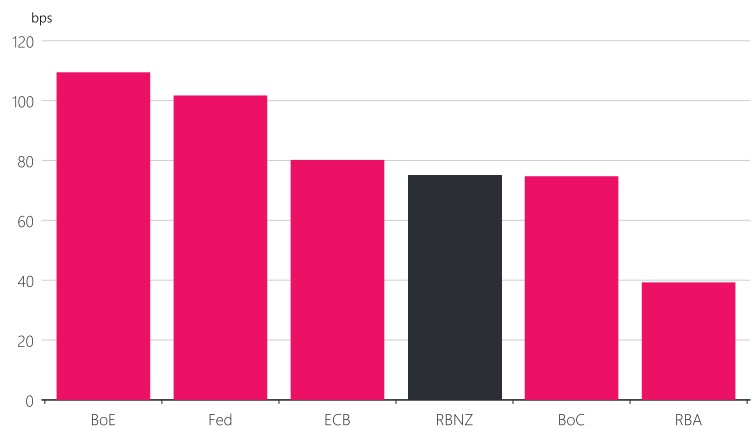
Financial market participants expect that monetary policy over the next year will be tighter across most advanced economies than at the time of the February Statement.

Market-implied expectations for policy rates in developed markets at the end of 2026 have increased by 40 to 120 basis points since the beginning of the Middle East conflict (figure 3.5). Central banks have generally communicated a willingness to look through the first-round effects of the energy price shock but remain alert to second-round effects, including the risk of higher inflation expectations and pass-through into wage inflation. Most advanced economy central banks left policy settings unchanged at their most recent meetings. The Reserve Bank of Australia opted to tighten monetary policy further at its May meeting, having also increased its cash rate at the previous two meetings in response to emerging domestic capacity pressures.

Government bond yields are higher. The largest increases have been at the 2-year tenor, consistent with expectations for tighter monetary policy over the next year. Smaller increases in 5- and 10-year yields largely reflect market expectations for higher inflation over the medium term and central banks maintaining tighter policy settings in response (figure 3.6).

Figure 3.5

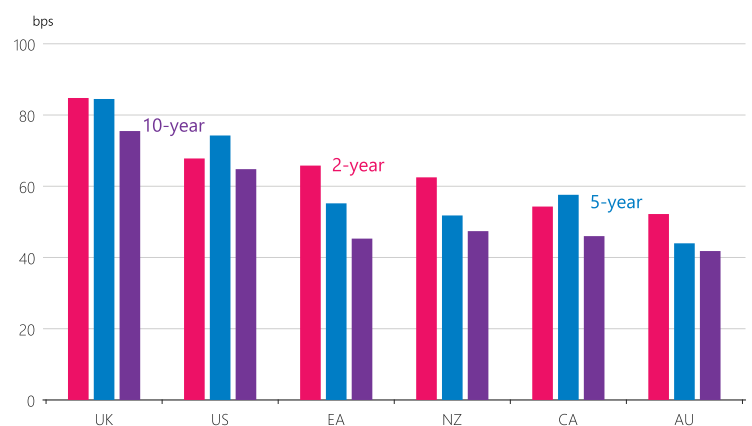
Change in 1-year-ahead policy rate expectations since 28 February



Source: Bloomberg.

Figure 3.6

Change in government bond yields since 28 February



Source: Bloomberg.

Global risk appetite has remained relatively strong despite the Middle East conflict

Exchange rate movements have mainly reflected differences in exposure to the energy shock and changes in expected monetary policy settings. Among New Zealand's trading partners, currencies of net energy exporters and those expected to tighten monetary policy by relatively more have broadly appreciated. The currencies of countries more reliant on imported energy, and therefore more exposed to downside activity effects of this shock, have in general seen larger depreciations (figure 3.7). The US dollar had appreciated by as much as 3 percent on a trade-weighted basis since the February *Statement*, supported by demand for oil priced in US dollars, the US' status as a net energy exporter, and safe haven flows. As risk sentiment has improved, the US dollar has weakened slightly, currently sitting around 2.1 percent higher than at the time of the February *Statement*.

Global equity markets have been supported by strong earnings growth. At the onset of the conflict, equity prices fell by around 10 to 15 percent, troughing near the end of March. However, equity prices recovered over April and are now above their pre-conflict levels in many economies (figure 3.8). This recovery has been underpinned by strong earnings growth, particularly in the technology sector, as demand for AI-related tech products continues to grow. Energy firms have also benefited from higher commodity prices.

Figure 3.7

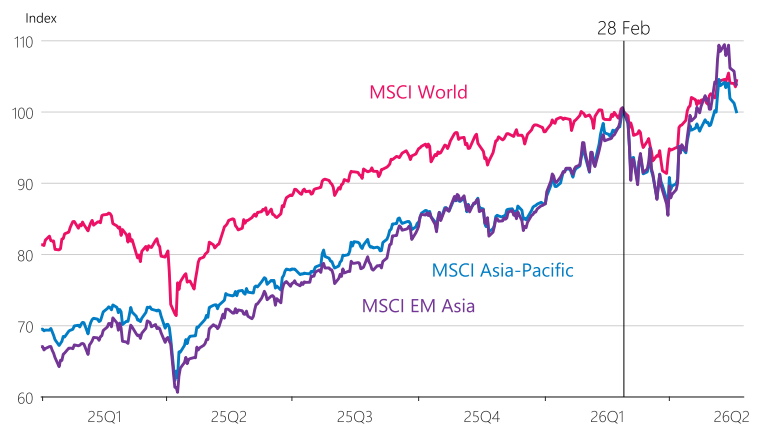
Change in nominal trade-weighted exchange rate since 28 February



Source: Bloomberg.

Figure 3.8

Global equity indices



Source: Bloomberg.

Domestic financial conditions

Wholesale interest rates have increased

Domestic financial conditions have tightened due to higher interest rates as a result of the Middle East conflict.

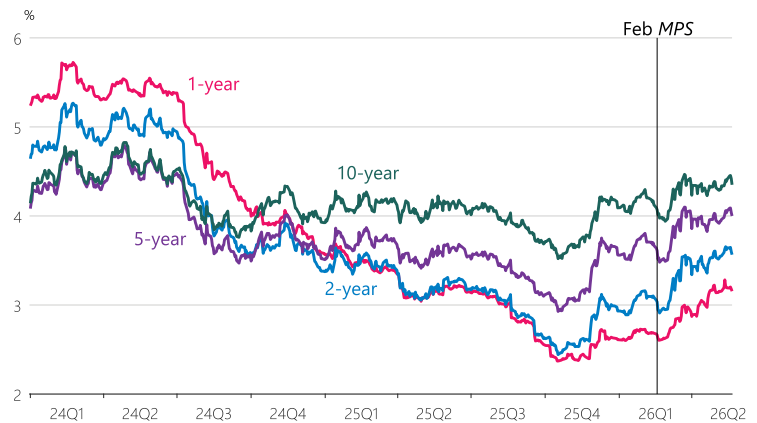
New Zealand swap rates have increased by around 30 to 50 basis points since the February *Statement*, with the largest increases at shorter tenors (figure 3.9). This reflects market expectations for higher inflation over the near term and a faster and larger increase in the OCR in response (figure 3.10). Since the February *Statement*, market pricing for the level of the OCR by the end of 2026 has increased by around 60 basis points to 3.5 percent.

Lending and deposit rates have increased

Since the February *Statement*, retail rates have increased, but less so than wholesale rates. Most term deposit rates have increased between 20 and 40 basis points (figure 3.11). The popular 6-month term deposit rate has remained unchanged. Similarly, mortgage rates for terms of 6 months to 5 years have increased between 5 and 40 basis points (figure 3.12).

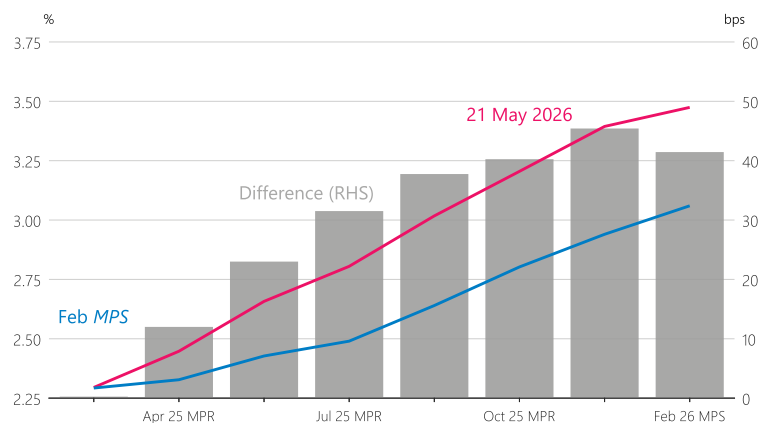
The spread between retail rates and wholesale rates has decreased to historically low levels outside of the COVID-19 period. The spread between the 6-month term deposit rate and the 6-month bank bill rate has decreased by around 45 basis points since its recent peak in October 2025, to 62 basis points. Since the February *Statement*, the spread between the 2-year mortgage rate and the 2-year swap rate has declined by around 20 basis points to 170 basis points.

Figure 3.9
New Zealand swap rates



Source: Bloomberg.

Figure 3.10
Financial market participants' expectations for the OCR



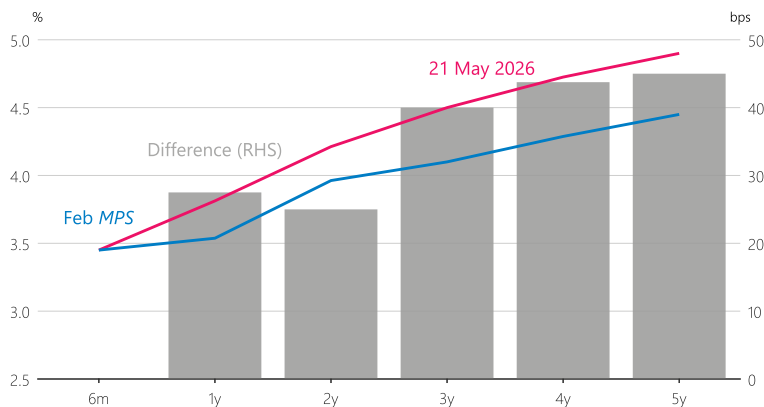
Source: Bloomberg.

Note: The blue line shows expectations for the OCR immediately before the February *Statement*. Each data point represents market expectations of the level of the OCR at a given point in the future, as measured by overnight indexed swap pricing.

Retail rates tend to lag wholesale interest rates, which are more volatile. Market contacts have noted that the uncertain outlook for monetary policy and volatile financial market conditions are likely contributing to additional caution from banks to fully pass recent increases in wholesale rates through to mortgage and deposit rates.

Figure 3.11

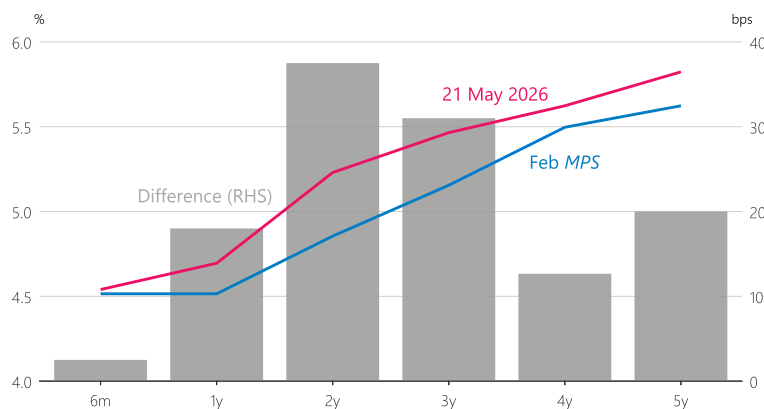
New Zealand term deposit rates (terms in years)



Source: interest.co.nz.

Figure 3.12

New Zealand mortgage rates (terms in years)



Source: interest.co.nz.

Note: The 6-month to 3-year mortgage rates shown are the average of the latest advertised fixed term rates on offer from ANZ, ASB, BNZ, and Westpac for mortgages with a loan-to-value ratio of less than 80 percent. The 4- and 5-year mortgage rates are the average of the latest advertised fixed term rates on offer from ASB, BNZ, and Westpac.

Another factor contributing to lending rates increasing by less than wholesale rates is that the estimated relative cost of new bank funding has declined since the February *Statement*. This largely reflects deposit rates increasing by less than wholesale rates, and the relative cost of wholesale funding not increasing materially despite the conflict in the Middle East. All else equal, when the relative cost of bank funding is lower, it reduces the extent to which banks need to increase lending rates in response to higher wholesale rates to maintain their profit margins.

The average mortgage yield is likely to increase this year

The average yield on the total stock of mortgage lending continued to decline to around 4.9 percent in March 2026.

On average, mortgage holders have been refinancing onto lower rates. In recent months, around 55 percent of new mortgages have been fixed for periods of longer than one year. If mortgage rates increase over time, consistent with current market pricing for wholesale rates, then mortgage holders will likely be refinancing onto higher rates on average by March 2027. Under this scenario, we estimate the average yield to increase by around 45 basis points to 5.4 percent in March 2027.

The New Zealand dollar has depreciated

The New Zealand dollar trade-weighted index (NZD TWI) has depreciated 2.2 percent since the February *Statement*

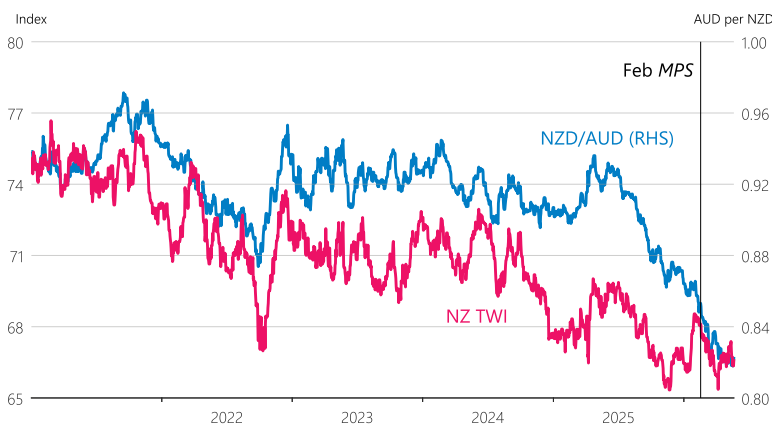
(figure 3.13). The exchange rate initially depreciated by as much as 4 percent in response to the Middle East conflict, as financial market participants sought safer currencies such as the US dollar. Some of this depreciation reversed after the US and Iran announced a ceasefire in early April, and the exchange rate has appreciated 1.9 percent since the April Monetary Policy Review.

The New Zealand dollar has continued to depreciate against the Australian dollar.

The NZD/AUD exchange rate is around 12 percent lower since its recent high in April 2025. This has contributed to a lower NZD TWI. The strength of the Australian economy in recent quarters has led to the Australian dollar appreciating against several of its trading partners.

Figure 3.13

New Zealand dollar trade-weighted index and the NZD/AUD exchange rate (nominal)



Source: RBNZ.



Chapter

04

Special topics

Chapter 4.

Special topics

Before the publication of each *Statement*, Reserve Bank staff provide analyses of some topical issues to the Monetary Policy Committee.

Topics for the May *Statement* included:

1. How will the Middle East conflict affect the New Zealand economy?
2. How much spare capacity is there in the New Zealand economy?

Special topics in the past 12 months

Topic	Date/publication
Recent developments in inflation and the outlook for key drivers	<u>February 2026 <i>Statement</i></u> (Chapter 4)
How are high commodity prices affecting the New Zealand economy?	<u>November 2025 <i>Statement</i></u> (Chapter 4)
A closer look at our measures of labour market spare capacity	<u>November 2025 <i>Statement</i></u> (Chapter 4)
Household sector developments and outlook	<u>August 2025 <i>Statement</i></u> (Chapter 4)
Assessing developments in inflation expectations	<u>August 2025 <i>Statement</i></u> (Chapter 4)
How does uncertainty affect the New Zealand economy?	<u>May 2025 <i>Statement</i></u> (Chapter 4)
The transmission of higher global tariffs to the New Zealand economy	<u>May 2025 <i>Statement</i></u> (Chapter 4)



How will the Middle East conflict affect the New Zealand economy?

Summary

- **The Middle East conflict has resulted in significant international price increases for crude oil, along with a range of other products including natural gas, fertiliser, plastics, and some metals.** For a small open economy such as New Zealand, this represents a negative supply shock.
- **Higher oil prices feed through to higher CPI inflation directly via higher fuel prices.** Retail petrol and diesel prices increased quickly following the rise in global oil prices.
- **Higher costs pass through to higher prices for other goods and services over time.** New Zealand's high use of diesel and jet fuel could result in material indirect price effects on inflation, as higher fuel costs transmit into other goods and services. For example, higher aviation fuel costs can increase airfares, while higher fertiliser, transport, and packaging costs can increase food prices.
- **The extent and persistence of the initial increases in prices are likely to depend on prevailing economic conditions.** Inflation is slightly above the MPC's target range, and the recent experience of high inflation may have a stronger influence on firms' price-setting behaviour than otherwise. On the other hand, weak demand and significant spare capacity in the economy may reduce firms' ability to raise prices and workers' ability to bargain for higher wages.
- **The net effect of the conflict on medium-term inflationary pressure in New Zealand is unclear.** This reflects a balance between channels that may dampen inflation through weaker demand and those that may increase inflation if higher costs become broadly embedded in price- and wage-setting behaviour.
- **Our central projection assumes that the net effects of the conflict are inflationary, and therefore tighter monetary policy will be required.** However, we will monitor economic developments closely for evidence that medium-term inflationary pressure is building to a smaller or larger degree than anticipated.

The conflict in the Middle East has materially affected global trade by disrupting shipping activity through the Strait of Hormuz and damaging regional energy infrastructure

Sharply reduced transit activity and heightened geopolitical uncertainty have contributed to tighter global energy market conditions, putting significant pressure on international oil and natural gas prices.

These developments have been quickly reflected in domestic fuel prices and the prices of other energy-intensive inputs, such as fertilisers, plastics, and some metals. In real terms, retail fuel prices are close to or above their highest levels in the past 50 years (figure 4.1).

For a small open economy such as New Zealand, these developments represent an adverse supply shock.

As a net importer of petroleum products, New Zealand is exposed to a deterioration in its terms of trade, as higher import prices and production and transport costs contribute to higher near-term inflation, while weighing on economic activity.

The macroeconomic impacts of previous oil price shocks have varied

The current oil shock has some similarities to the 1973 oil shock in terms of its abrupt, geopolitically-driven disruption to oil trade. In 1973, after the Yom Kippur War, members of the Organization of Arab Petroleum Exporting Countries reduced oil production and imposed an embargo on exports to certain nations. By early 1974, the real price of crude oil had approximately doubled in New Zealand dollar terms. Higher oil prices contributed to a sharp deterioration in New Zealand's terms of trade and current account, weaker growth, and higher inflation. Inflation increased to around 12 percent, and remained in double digits for an extended period, becoming increasingly entrenched in price- and wage-setting behaviour.

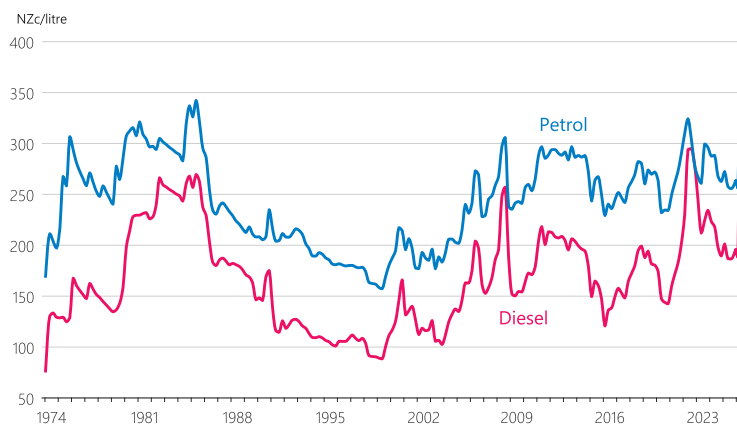
However, these outcomes occurred in an economic environment very different from today. The 1973 oil supply shock occurred when New Zealand inflation was already relatively high. The domestic economy featured import protection, a highly unionised labour market, widespread wage and price indexation, and a monetary policy framework without today's independent inflation-targeting mandate. In that context, international price shocks had a rapid and broad effect on price- and wage-setting.

The current oil shock differs from the 2022 oil shock following Russia's invasion of Ukraine.

The current oil shock is occurring against a less inflationary backdrop than 2022. At that time, strong global and domestic demand, competition for limited resources, and generally resilient household and business balance sheets reinforced persistent price pressures in New Zealand and abroad. Today, softer demand, greater spare capacity, and less resilient household and business balance sheets are likely to dampen the degree to which higher costs are passed through to prices.

Figure 4.1

Retail petrol and diesel prices (real, December 2025 dollars)



Source: MBIE, RBNZ estimates.

The Middle East conflict will affect the New Zealand economy through trade, financial, and uncertainty channels

We think about the transmission of global shocks through three broad channels: the trade channel, the financial channel, and the uncertainty channel. The key channels through which the Middle East conflict will affect growth and inflation in New Zealand are summarised in table 4.1.

Table 4.1

How the Middle East conflict affects growth and inflation in New Zealand

Channel		Effects on NZ inflation	Effects on NZ growth	Effect on NZ economy
Trade	NZ imports	↑	↓	Consumption imports: Higher energy prices and supply chain disruptions raise import prices for fuel and other petrochemical products. Higher retail fuel prices lower real disposable incomes for households and reduce overall consumption. Production imports: Higher prices for imported inputs such as fuel, fertiliser, and plastics increase production costs for firms, reducing profitability for a given level of demand. Weak demand and higher production costs also reduce firms' incentives to invest. Inflation expectations: Higher prices for imported goods may influence firms' and households' inflation expectations and price- and wage-setting behaviour.
	NZ exports	↕	↓	Slower global growth reduces demand for New Zealand exports. Domestic producers face higher costs of production. Rising food prices, reflecting higher global fertiliser costs, may support primary sector incomes, providing some offset.
Financial	Interest rates	↓	↓	Expectations of higher inflation are raising interest rates globally and in New Zealand. Higher interest rates weigh on growth and reduce inflation.
	Exchange rate	↑	↑	Higher global uncertainty tends to cause a depreciation of the New Zealand dollar, adding to inflationary pressure.
Uncertainty	Asset prices	↓	↓	Higher global uncertainty and weaker global growth are likely to weigh on asset prices.
	Geopolitical and economic uncertainty	↓	↓	Heightened uncertainty may cause New Zealand businesses to defer or cancel investment plans and lead households to spend less.

Note: ↕ indicates that opposing forces create ambiguity about the direction of the net effect.

Oil shocks have first-round and second-round effects on inflation

Monetary policy considers the net impact of higher oil prices on medium-term inflationary pressure. We decompose the impact into four different effects: first-round direct effects, first-round indirect effects, second-round price effects, and second-round activity effects.

Higher oil prices have a first-round direct effect on CPI inflation. Increases in global oil prices are typically passed through to domestic fuel prices within one to two weeks. Fuel (petrol and diesel) accounts for about 4 percent of the CPI basket and has a direct impact on headline CPI inflation. These are referred to as first-round direct effects.

Higher oil prices also affect inflation through first-round indirect effects. The conflict has affected many commodity prices directly. Fuel and oil- and gas-derived products including fertiliser and plastics are used in the production and distribution of many goods and services. When these input costs increase, businesses may pass some of the increase on to consumers, particularly in industries where they comprise a large share of production costs. For example, higher aviation fuel costs can increase airfares, while higher fertiliser, transport, and packaging costs can increase food prices. These effects are less immediate than the direct impact on fuel prices, but can often begin to be observed in the months following an oil price increase. We refer to these as first-round indirect effects.

An initial increase in CPI inflation can lead to more persistent inflationary pressure via second-round price effects. Firms and households may adjust their price- and wage-setting behaviour, resulting in higher inflation now, particularly if their medium-term inflation expectations increase. Over the medium term, higher costs due to a weaker exchange rate and higher non-oil import prices can continue to flow through to consumer prices, adding to inflationary pressures. We refer to these as second-round price effects.

Fuel has highly visible prices, is frequently purchased, and is widely covered by the media. Large fuel price increases can therefore influence how people think about future inflation. This can translate to higher inflation expectations, particularly over shorter-term horizons. Reserve Bank research suggests that households also become more attentive when inflation is elevated, with expectations becoming more responsive during periods of high inflation.⁴

Higher actual and expected inflation can influence wage-setting if workers seek compensatory wage increases. In New Zealand, wage-setting is generally infrequent, with most businesses reviewing and setting wages annually. Around half of all employees are in firms that consider inflation when setting wages.⁵ Any effect of higher inflation flowing through to wages is expected to be gradual, with spare capacity in the labour market likely to limit this transmission. When inflation is driven by higher import prices, as opposed to strong demand, it is less likely that firms will compensate workers for a higher cost of living, as their profit margins may be reduced.

⁴ See Bayarmagnai (2023), *Rational inattention to inflation among New Zealand households*.

⁵ See Armstrong and Parker (2016), *How wages are set: evidence from a large survey of firms*.

If businesses expect higher inflation for longer, they may adjust prices more frequently. New Zealand research suggests businesses are more likely to implement price increases than decreases following changes in costs or demand, with this asymmetry becoming more pronounced in high-inflation periods.⁶ With inflation elevated and the recent experience of high inflation fresh in businesses' minds, the current oil shock may have greater influence on price-setting behaviour than otherwise.

Oil price increases also dampen real economic activity. Higher oil prices reduce households' and firms' real incomes, which dampens aggregate demand and economic growth. Elevated energy prices may also weigh on growth in New Zealand's key trading partners, which can have further adverse effects on domestic activity. We refer to these as second-round activity effects.

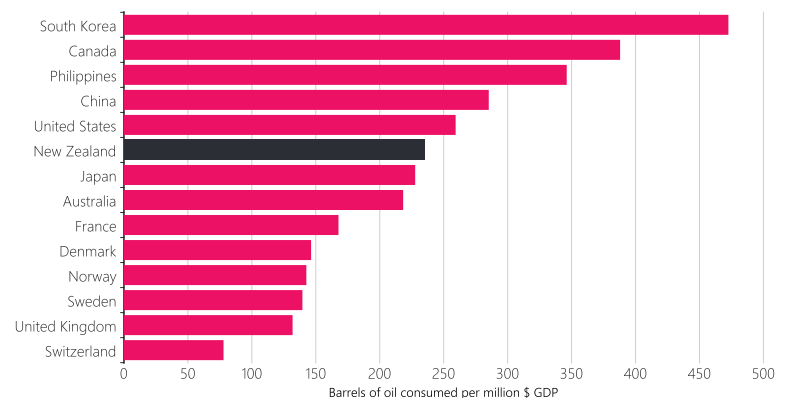
The implications for inflationary pressure over the medium term depend on the relative magnitude and persistence of second-round price and activity effects.

The size and timing of these effects is uncertain and depends on several factors

Considerable uncertainty remains around the outlook for oil prices. Oil prices have eased from their peak early in the conflict the Middle East conflict as inventory drawdowns and flexible supply chains have supported global supply. However, prices could rise further if the conflict intensifies, and physical shortages of oil and refined fuels could present a more acute risk to economic activity in New Zealand and globally. Where prices will settle over the medium term also remains uncertain. Reduced supply due to damaged production and refinery facilities, in addition to stronger demand as countries replenish their inventories, will likely keep energy prices elevated above pre-war levels over the medium term.

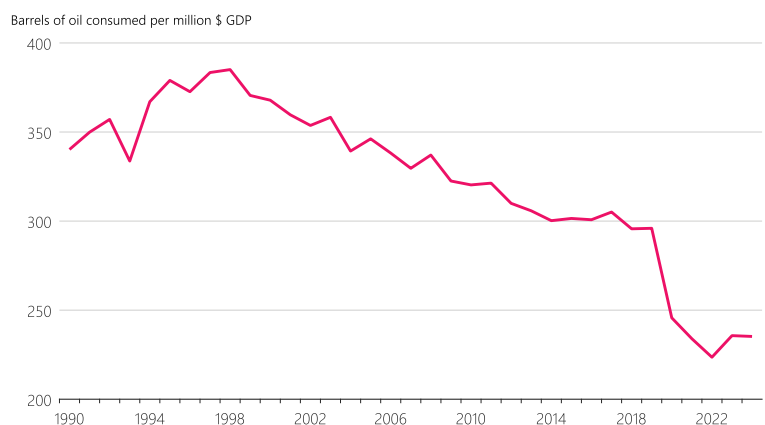
Pass-through of higher costs to consumer prices may vary in speed, magnitude, and breadth. New Zealand is a relatively heavy user of transport fuel, compared with the size of its economy, and has a large share of diesel and jet fuel use. This may contribute to stronger indirect effects of oil price shocks relative to some OECD peers, through transport costs and their pass-through to other goods and services (figure 4.2). However, declining oil intensity since the 1990s suggests that these effects may be weaker than in earlier episodes (figure 4.3).

Figure 4.2
Oil-GDP intensity in 2024
(real, US dollar terms, 2015 prices)



Source: Energy Institute, Our World in Data, OECD national accounts, World Bank, RBNZ estimates.

Figure 4.3
New Zealand oil-GDP intensity
(real, US dollar terms, 2015 prices)



Source: Energy Institute, Our World in Data, OECD national accounts, World Bank, RBNZ estimates.

6 See Buckle, Ryan and Song (2026), *Inflation and the changing nature of firm price adjustment: Six decades worth of evidence*.

How cost pressures translate into consumer prices depends on firms' margin positions, pricing power, and demand conditions.

In the near term, firms may absorb cost increases in profit margins, particularly where demand is weak or competition or contractual arrangements limit repricing. Where margins are thin and pricing power is stronger, pass-through to prices could occur more quickly. With spare capacity and subdued demand in the economy, some firms may instead respond by adjusting output, employment, or investment rather than raising prices.

Reports from recent business visits suggest that margins have reduced and firms now have less scope to absorb further cost increases

(see box B in chapter 2). However, with significant spare capacity still evident and demand subdued, pricing responses are likely to be uneven. Firms in more demand-sensitive sectors, such as discretionary retail, hospitality, and construction, may adjust primarily through margins or activity rather than prices. In contrast, faster pass-through is more likely in sectors with greater pricing power or more direct fuel and energy related input cost-price linkages, such as transport, freight, agriculture, and manufacturing.

It is unclear to what degree higher near-term inflation will influence wage- and price-setting behaviour.

This will depend on the extent to which spare capacity in the economy limits firms' ability to pass on higher costs, reduces workers' bargaining power to seek compensating wage increases, and helps keep medium-term inflation expectations anchored.

Another uncertainty is the size and persistence of the demand drag from higher fuel costs.

Domestically, higher fuel prices reduce real household incomes and may weigh on consumption by reducing discretionary spending. In some sectors, higher fuel prices may directly result in lower production where fuel is a significant input, particularly if transport disruptions occur. Externally, the impact will depend on the extent to which trading-partner growth slows and global financial conditions tighten, and how strongly this transmits to New Zealand via export demand.

The medium-term inflation outlook will depend on the relative strength of channels that could either limit or reinforce the persistence of inflationary pressure.

Weaker global and domestic growth may dampen demand and non-fuel costs sufficiently to limit further increases in inflation beyond first-round impacts. However, if higher inflation becomes embedded in the behaviour of firms more widely, higher inflation could broaden into goods and services with less fuel price exposure.



How much spare capacity is there in the New Zealand economy?

Summary

- A key assumption underlying our central economic projection is that significant spare capacity in the economy is constraining medium-term inflationary pressure. However, estimates of the output gap are uncertain.
- We use a wide range of indicators in our Output Gap Indicator Suite (OGIS) to assess the current degree of spare capacity in the economy. This suite also helps us understand the range of uncertainty around our starting point output gap assumption.
- There is strong evidence that the economy is operating with significant spare capacity. At present, the OGIS mean provides a point estimate of around -1.3 percent for the output gap in the March 2026 quarter.
- Movements in individual indicators are mixed, but are consistent with spare capacity having remained broadly stable over 2025, with signs of some reduction in spare capacity in the March 2026 quarter.

The output gap refers to the difference between GDP and the economy's potential output

A negative output gap reflects spare capacity in the economy, placing downward pressure on inflation. For example, when firms are operating below capacity and the labour market is loose.

The output gap is not directly observable, so we use OGIS to estimate it in real time.⁷

The suite uses a range of indicators and models that incorporate different information sets and rely on varying assumptions, providing a broad assessment of capacity pressure.

The mean of OGIS summarises information across a broad set of underlying indicators.

Currently, OGIS consists of 12 output gap indicators, which can be grouped into indicators based on labour market data (labour market indicators), and those based on other data (non-labour market indicators). Together, these estimates inform our assessment of economy-wide capacity pressures.

Labour market indicators capture capacity pressure through developments in employment, unemployment, hours worked, job vacancies, and other related measures. These indicators are closely linked to domestic inflationary pressure and provide insight into the extent to which labour resources are being utilised.

⁷ For more information on the OGIS suite, refer to the following publications: Jacob and Robinson (2019), [Suite as! Augmenting the Reserve Bank's output gap indicator suite](#), Armstrong (2015), [The Reserve Bank of New Zealand's output gap indicator suite and its real-time properties](#).

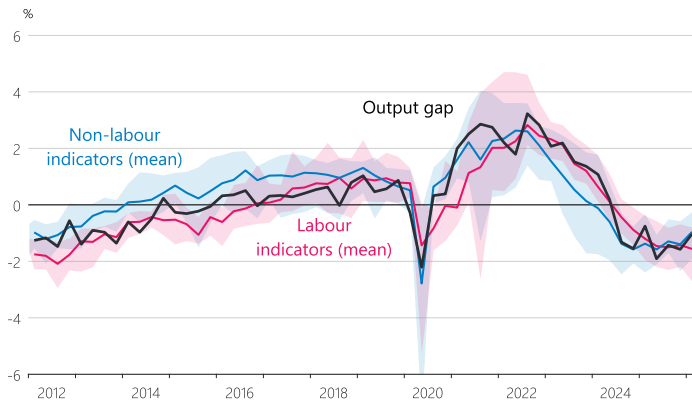
Non-labour market indicators draw on information such as the Quarterly Survey of Business Opinion (QSBO) and national accounts data, including GDP. These indicators provide complementary signals on demand and supply imbalances and broader economic conditions.

The output gap indicators from OGIS lie between -2.7 percent and -0.3 percent in the March 2026 quarter (figure 4.4). The current width of OGIS is consistent with the typical range of the pre-COVID period.

Figure 4.4

Output gap and output gap indicators

(share of potential, seasonally adjusted)



Source: NZIER, MBIE, Stats NZ, RBNZ estimates.

Note: For each group of indicators, the shaded area shows the range of values and the line shows the mean value. The output gap estimate in the final quarter is based on our near-term GDP estimates.

Most labour market indicators suggest high levels of spare capacity, although they have stabilised

All labour market indicators in OGIS point to a significant increase in labour market spare capacity since 2023 (figure 4.5). Indicators based on hours worked and employment are currently close to their lows following the Global Financial Crisis (GFC). Other measures of labour market spare capacity are mixed. The underutilisation rate and the vacancy-to-unemployment ratio are less weak than most other indicators. In contrast, the Labour Utilisation Composite Index in levels is currently the weakest indicator in the suite, partly reflecting a very low transition rate of people not current employed into employment.⁸

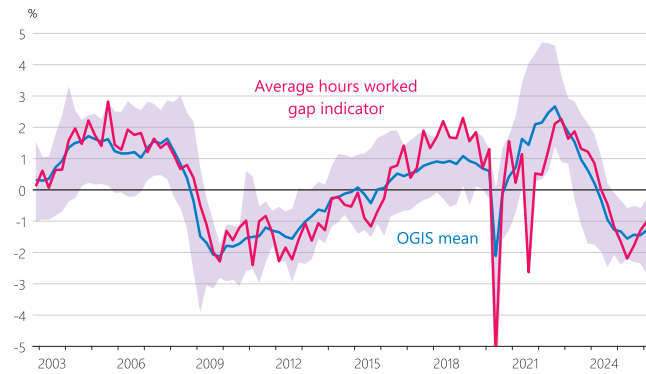
More recently, there are signs that labour market spare capacity has stabilised. The average hours worked gap has shown a reduction in spare capacity over recent quarters. The underutilisation rate and the vacancy-to-unemployment ratio indicators have stabilised. Consistent with this, the labour market indicator mean has remained broadly unchanged since the middle of 2025.

⁸ Labour Utilisation Composite Index in levels is a principal component of a range of labour market variables from the Household Labour Force Survey, including unemployment rates, the employment rate, and labour market flows.

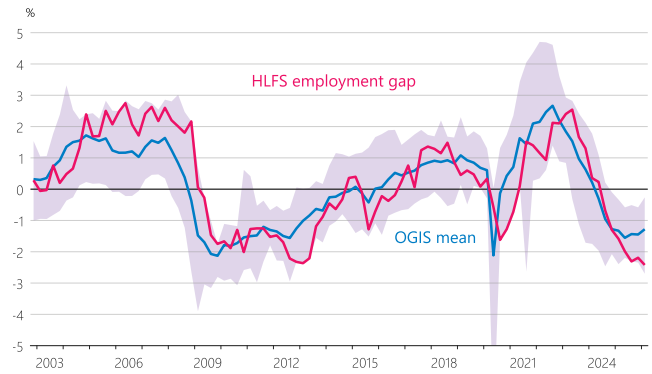
Figure 4.5

Labour market-based indicators

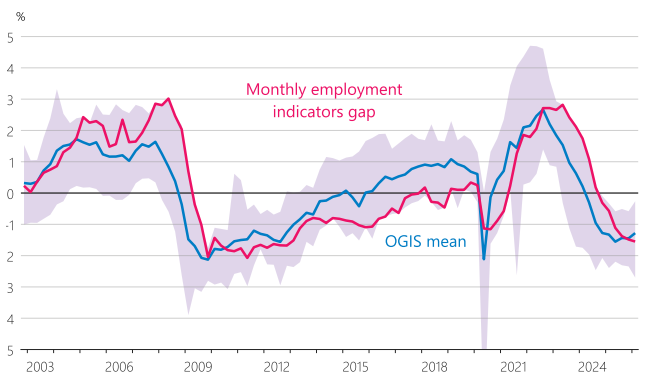
a: Average hours worked gap indicator
(share of potential, seasonally adjusted)



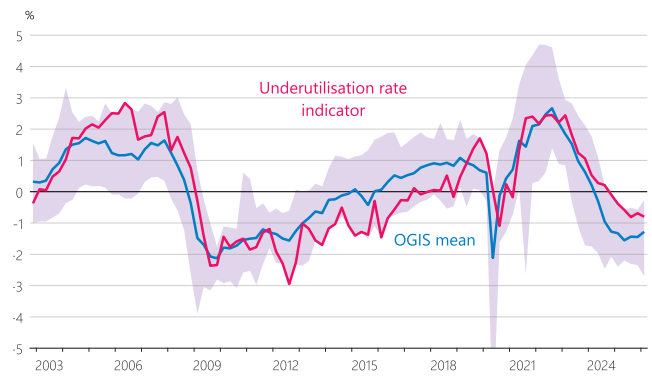
b: Household Labour Force Survey employment gap indicator
(share of potential, seasonally adjusted)



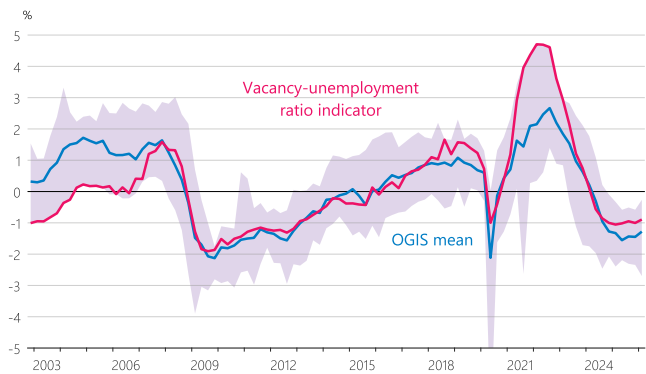
c: Monthly employment indicators gap
(share of potential, seasonally adjusted)



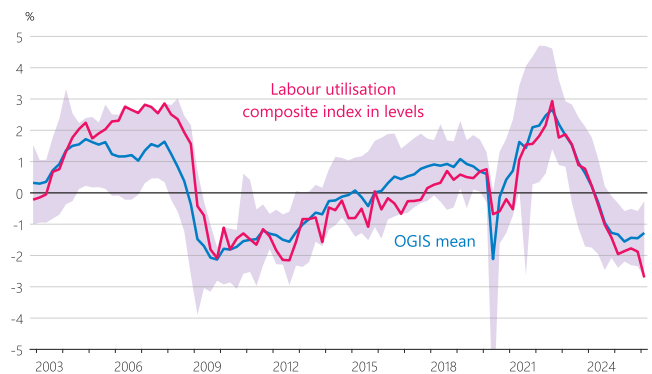
d: Underutilisation rate indicator
(share of potential, seasonally adjusted)



e: Vacancy-unemployment ratio indicator
(share of potential, seasonally adjusted)



f: Labour utilisation composite index in levels
(share of potential, seasonally adjusted)



Source: MBIE, Stats NZ, RBNZ estimates.

Note: The shaded area represents the range of OGIS indicators.

Non-labour market indicators based on GDP data show varying degrees of spare capacity

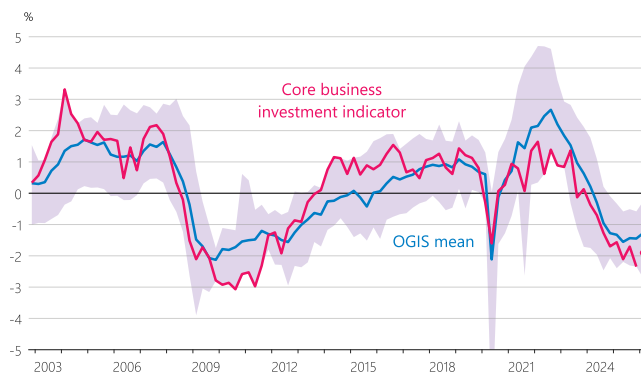
Non-labour market OGIS indicators that are based on GDP data as inputs are currently showing a wide range of estimates of spare capacity. These indicators rely on national accounts data and are therefore updated with a lag relative to other indicators in the suite, with the latest observed data available for the December 2025 quarter. To improve comparability, the March 2026 quarter is estimated based on our forecasts for these variables in our central projection, so that all indicators are aligned to the same quarter.

The core business investment indicator is among the weakest in the suite (figure 4.6). This is consistent with weak business and residential investment observed over the past three years. Hamilton filtered GDP has also been relatively weak, but our estimate for the March 2026 quarter shows an increase to sit near the mean of OGIS.⁹

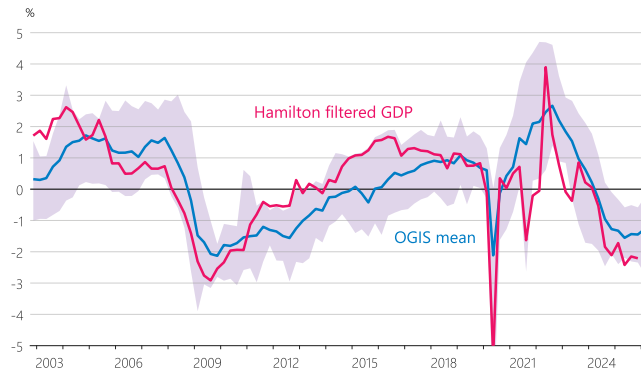
By contrast, the structural vector autoregression (SVAR) model points to a smaller degree of spare capacity than other indicators.¹⁰ This measure partly relies on using non-tradables inflation to estimate capacity pressure. Non-tradables inflation remains slightly elevated compared to history, which is contributing to the SVAR indicator showing less spare capacity compared to other indicators.

Figure 4.6
GDP indicators

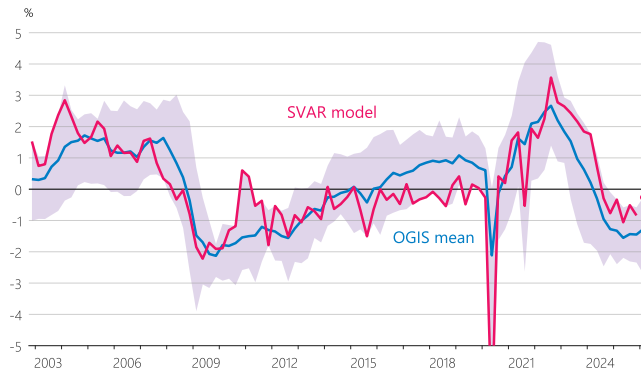
a: Core business investment indicator
(share of potential, seasonally adjusted)



b: Hamilton filtered GDP
(share of potential, seasonally adjusted)



c: SVAR model
(share of potential, seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

Note: The shaded area represents the range of OGIS indicators. Dots show the expected value of each indicator based on the central projection.

9 The Hamilton filter produces an output gap estimate based on filtered GDP. GDP is detrended using the linear projection method proposed by Hamilton (2017), and the output gap is measured as the percentage deviation of actual GDP from this estimated trend.

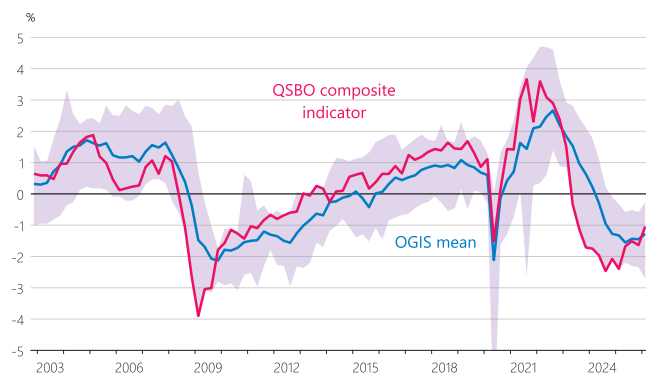
10 The SVAR-based output gap is estimated from a structural vector autoregression of GDP and non-tradables inflation, identified using long-run restrictions.

Indicators based on QSBO data suggest that spare capacity has reduced over the past year

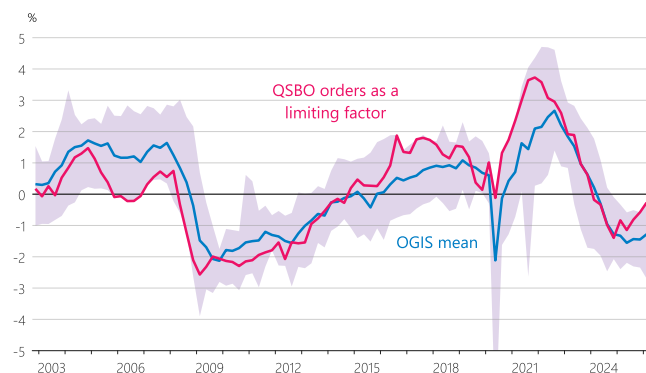
Non-labour market indicators based on the QSBO suggest that spare capacity has reduced since early 2025 (figure 4.7). The QSBO composite indicator, which combines firms' difficulty finding skilled and unskilled labour with their reported capacity utilisation, has rebounded from its post-COVID lows. This indicator was the weakest in the suite for much of 2023 and 2024, but now sits slightly above the OGIS mean. The QSBO orders as a limiting factor and the QSBO principal component indicators have also increased since early 2025, and are above the OGIS mean.¹¹

Figure 4.7
QSBO indicators

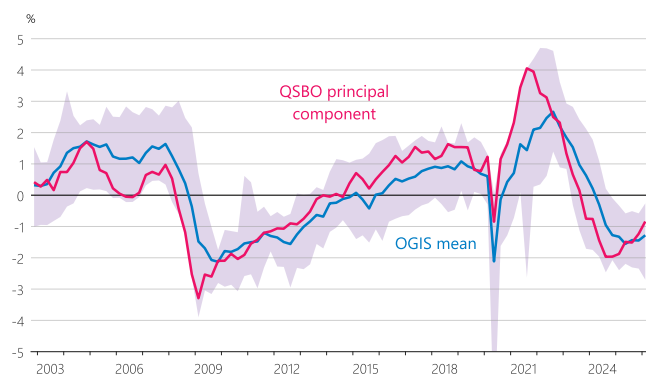
a: QSBO composite indicator
(share of potential, seasonally adjusted)



b: QSBO orders as a limiting factor
(share of potential, seasonally adjusted)



c: QSBO principal component
(share of potential, seasonally adjusted)



Source: NZIER, RBNZ estimates.

Note: The shaded area represents the range of OGIS indicators.

¹¹ The QSBO principal component indicator consists of 50 variables from the QSBO that are related to capacity pressure (e.g. difficulty finding labour).

OGIS points to substantial spare capacity remaining in the economy, but suggests that spare capacity had begun to be absorbed

The indicator suite continues to point to a material degree of spare capacity in the economy, though with some dispersion across measures.

The mean of OGIS indicators as of the March 2026 quarter is -1.3 percent, with eight of the twelve OGIS indicators falling between -0.8 percent and -1.9 percent.

Recent movements in leading indicators suggest that spare capacity had begun to be absorbed before the conflict in the Middle East. Non-labour market indicators, particularly measures based on information from the QSBO, have pointed to reductions in spare capacity. These measures can tend to move more quickly than others in the suite. While they provide a strong signal that spare capacity had started to be absorbed, they may understate the remaining level of spare capacity. In contrast, labour market indicators, which typically lag others in the suite, have on average been broadly unchanged over recent quarters. Their typical lag could suggest that they overstate the current degree of spare capacity.

We expect spare capacity in the economy to increase over the middle of 2026, as lower real incomes and higher uncertainty due to the Middle East conflict reduce real household and business spending (see chapter 5).

A full-page background image showing a dramatic coastal scene. Two large, layered rock cliffs frame a narrow passage. The rock has distinct horizontal strata and is a mix of grey and tan colors. A small waterfall cascades over a rock ledge into the water below. The water is a deep blue, and white foam from the waves is visible in the narrow channel and at the base of the cliffs. The sky is not visible, as the cliffs and water fill the frame.

Chapter

05

Economic projections



Chapter 5. Economic projections

This chapter summarises the central economic projections that the MPC considered when making their policy assessment. The projections were finalised on 21 May 2026.

Inflation was slightly above the target range in the March 2026 quarter, but the average of core inflation measures remained low and stable at 2.3 percent. Annual CPI inflation was 3.1 percent, 0.3 percentage points higher than expected in the February *Statement*, largely due to higher-than-expected fuel prices. Annual headline inflation would have been 3.0 percent in the March 2026 quarter if the January 2025 increase in vehicle licensing fees had been correctly captured in the March 2025 quarter CPI release.¹²

Petrol and diesel prices will have a large direct effect on CPI inflation in the June 2026 quarter. Fuel prices are expected to contribute 1.2 percentage points to annual CPI inflation in the June 2026 quarter. Fuel prices are assumed to decrease over the remainder of the projection, but remain higher than before the conflict. Declining petrol and diesel prices are projected to contribute about -0.5 percentage points to annual CPI inflation in the June 2027 quarter.

Indirect price effects are also expected to contribute to CPI inflation, as some businesses are passing on higher fuel costs. Significant price increases are expected in air and road transport, food, and construction. Indirect price effects are assumed to contribute 0.8 percentage points to annual CPI inflation in the September 2026 quarter.

Second-round price effects can amplify the initial increase in CPI inflation. Higher import prices and a lower exchange rate feed directly into costs, and the initial increase in inflation may result in firms and households adjusting their price- and wage-setting behaviour. These dynamics make inflation more persistent, adding to inflationary pressure over the medium term.

However, second-round demand effects are also expected due to lower real income and wealth, and higher uncertainty. Lower demand reduces inflationary pressure in the medium term. We have estimated the effects of oil supply shocks on the New Zealand economy using a range of techniques. Second-round demand effects are assumed to cause the output gap to be about 0.8 percentage points lower than otherwise by the end of 2026.

Before the conflict, in the March 2026 quarter, the economy was growing and the output gap was broadly in line with our February *Statement* assumption. Timely indicators suggest growth was above potential, and the output gap was closing.

The labour market was beginning to stabilise, but is now expected to remain weak for longer. The unemployment rate fell to 5.3 percent in the March 2026 quarter. Same-job wage growth has decreased to a level consistent with headline inflation near the target mid-point. Wage growth is expected to remain low as elevated unemployment, compressed business margins, and weak productivity growth limit workers' bargaining power. We expect the unemployment rate to increase to about 5.4 percent over the next year, before gradually decreasing in line with the recovering output gap.

This projection assumes the OCR increases gradually over the medium term to about 3.3 percent. These projections represent what we believe to be the most likely path for the economy, conditional on a range of assumptions. However, it is only one of many possible paths. Global developments and the evolution of the domestic economy are likely to be different to our assumptions. Box A considers alternative scenarios, and the implications for monetary policy settings.

¹² The January 2025 vehicle licensing fee increase was erroneously omitted from the March 2025 quarter CPI and instead included in the June 2025 quarter release. This means annual CPI inflation in the March 2026 quarter was 0.1 percentage point higher than it would have been.

Table 5.1

Key projection assumptions

Economic growth and capacity pressure	
Production	- GDP increased 0.2 percent in the December 2025 quarter. Timely indicators suggest growth increased in the March 2026 quarter, especially in manufacturing and construction. Higher activity is consistent with the decreases in interest rates since August 2024. - We assume GDP growth was 1.0 percent in the March 2026 quarter and will be 0.0 percent in the June 2026 quarter. Although GDP growth is seasonally adjusted, it currently has a remaining predictable seasonal pattern. Residual seasonality is estimated to add 0.4 percentage points to Stats NZ's published GDP in the March 2026 quarter, implying underlying growth of 0.6 percent. This residual seasonality is assumed to reduce published GDP growth by 0.2 percentage points in both the June and September 2026 quarters. We have not accounted for residual seasonality in quarters after September 2026. - We assume the shock caused by the Middle East conflict reduces June 2026 quarter GDP by 0.6 percentage points, reflecting higher fuel prices, lower real incomes, and greater uncertainty. In the September and December 2026 quarters, growth is assumed to be 0.1 percentage points lower than otherwise due to second-round demand effects. This leaves annual growth 0.8 percentage points lower than otherwise by the December 2026 quarter. - Our assumptions about the effects of the Middle East conflict were informed by internal modelling using a range of techniques to estimate the impacts of oil supply shocks on the New Zealand economy. These techniques include local projections, structural vector autoregression models, and G-Cubed (a multi-sector, multi-country structural model of the global economy).
Domestic capacity pressures	- The output gap is projected to decrease to -1.8 percent by the September 2026 quarter, about 0.8 percentage points lower than would have been the case in the absence of the Middle East conflict. - The output gap is then assumed to narrow in response to the lagged effect of relatively low real interest rates, reduced uncertainty, and declining import prices. We project the output gap will increase to -0.7 percent at the end of 2027, and -0.1 percent at the end of 2028.
Consumption	- Consumption is projected to grow slowly, reflecting decreasing house prices and low real income growth. We project consumption growth to increase from early 2027 as the labour market begins to recover and import prices decrease. - The IRD's in-work tax credit (IWTC), a payment received by families with dependent children, at least one parent in paid employment, and qualifying income, is being temporarily increased in response to the oil shock. We expect this payment will have minimal macroeconomic effects. - The sale of Fonterra's consumer brands business, and the associated shareholder payout in April 2026, is expected to be largely directed toward debt repayment and saving and is not expected to have a material effect on consumption. - House prices are projected to decrease slightly in 2026. Net immigration has increased, providing some support for housing demand. However, a large stock of housing available for sale, higher borrowing costs, and lower real disposable incomes limit households' ability and willingness to bid up prices. From 2027, house prices are projected to increase only gradually as income growth improves.

Business investment	• Business investment has decreased significantly over the past three years, as spare capacity has reduced the incentive to invest in new capital. In the near term, increased spare capacity and uncertainty from the oil shock are assumed to delay the recovery of business investment. • Business investment is projected to increase later in the projection, responding to a narrowing negative output gap. • The sale of Fonterra's consumer brands business, and the associated shareholder payout in April 2026, could support business investment at the margin.
Residential investment	• Residential investment is expected to increase over 2026, albeit more slowly than projected in the February <i>Statement</i>. The Middle East conflict has increased construction input costs via higher diesel and materials prices. Higher interest rates are also expected to dampen activity somewhat. Building consents — which tend to have high completion rates — have increased significantly over the past six months. Higher net immigration and housing supply policy changes are expected to support an increase in construction activity.
Government	• Government spending is assumed to be consistent with fiscal forecasts in the <i>Half Year Economic and Fiscal Update (HYEFU) 2025</i>, updated for December 2025 quarter GDP data. • Total government expenditure (consumption and investment) has declined as a share of the economy from its peak in 2021, but increased over the last year. We assume that government expenditure will remain around current levels in real terms, declining as a share of the economy. Our projections are consistent with the <i>HYEFU 2025</i>, adjusted for data revisions and the stronger-than-expected starting point in the December 2025 quarter, while we await the publication of the <i>Budget</i> on 28 May.
Export volumes	• Services export volumes experienced strong growth over summer. We assume that service export volumes in the March 2026 quarter were about 10 percent higher than a year earlier. • The Middle East conflict has increased prices and reduced availability of flights, making it more difficult to travel to New Zealand. This, along with lower global demand, is assumed to reduce service export volumes in the second half of 2026. However, the decrease is partially offset by a lower exchange rate. • Goods export volumes are projected to grow at a similar rate to potential GDP, as higher dairy and meat volumes are offset by lower global demand for other goods exports. Dairy production, and to a lesser extent meat production, have increased in response to elevated prices.

Global factors

Export prices	Export prices are assumed to decrease toward their long-term average level in real foreign currency terms. Much of this decrease has already been observed in dairy auctions to date, but will take time to flow through to the national accounts measure of export prices. Prices for meat exports are expected to remain high, and prices for other export categories are assumed to increase in line with global inflation in the medium term.
Import prices	- We assume Dubai crude oil prices average US\$104 per barrel in the June 2026 quarter, 56 percent higher than their level in the December 2025 quarter. We assume oil prices then decrease, settling at US\$84 per barrel in the medium term, about 25 percent higher than before the conflict. Our oil price assumption is based on our usual approach of using oil futures prices, adjusted for risk using a term structure model. - Non-oil import prices are assumed to increase in the near term as global firms face higher costs for energy, fertiliser, and shipping. - Import prices then decline in real terms over the medium term but remain materially higher than assumed in the February <i>Statement</i>, and even more so in New Zealand dollar terms due to a lower New Zealand dollar exchange rate. The pass-through of higher non-oil import prices to consumer prices takes longer than the direct pass-through of oil import prices to consumer fuel prices. Higher non-oil import prices therefore add to inflationary pressure in the period that monetary policy can affect.
Global interest rates and exchange rate	- Market participants' expectations for global policy interest rates are about 50 basis points higher than our February <i>Statement</i> assumption. All else equal, higher global interest rates put downward pressure on the New Zealand dollar, which adds to inflationary pressure in New Zealand. - The New Zealand dollar trade-weighted index (TWI) is assumed to remain at 66.6 through the projection, about 2.1 percent lower than in the February <i>Statement</i>.

Labour market

Employment and wages	- Reduced economic activity is expected to lower demand for labour, resulting in a higher unemployment rate. The unemployment rate is projected to increase to 5.4 percent in the June 2026 quarter and remain near this level until mid-2027. We expect this to occur as firms' margins are compressed, and the rate of hiring slows while the population continues to grow. Total employment is projected to remain broadly unchanged in the June 2026 quarter, before beginning to grow again. - Same-job wage growth is at a level consistent with headline inflation near the target mid-point. The relatively high unemployment rate and compressed business margins will make it difficult for employees to bargain for pay increases. - Spare capacity in the labour market is currently contributing to disinflationary pressure. We expect the unemployment rate to decrease toward the end of the projection in line with the recovering output gap.
Migration	- Despite the outlook for weaker labour market conditions, this projection assumes a higher rate of net immigration than the February <i>Statement</i>. Recent data has shown a decrease in outward migration. Meanwhile, the rate of inward migration has been increasing. - Net working-age immigration increased to about 9,000 in the March 2026 quarter. We assume a slight decrease in net working-age immigration in the near term, before gradually rising towards 9,000 per quarter in the medium term.

Inflation

Headline CPI inflation

- Annual CPI inflation is forecast to increase to 4.2 percent in the June 2026 quarter. Direct effects of petrol and diesel prices are expected to contribute 1.2 percentage points to annual inflation in that quarter.
- Annual CPI inflation is projected to return to near the target mid-point in the September 2027 quarter. Petrol and diesel prices are expected to contribute about -0.5 percentage points to annual inflation in the June 2027 quarter. Indirect and second-round price increases are projected to keep annual inflation higher than otherwise during 2027.
- In the medium term, inflation is projected to settle near 2 percent as price-setting behaviour adapts to a low-inflation environment, and as administered price inflation and tradables inflation normalise.
- The average of core inflation measures has declined to 2.3 percent over the past year. We expect these to converge toward our 2 percent target mid-point over time.

Non-tradables

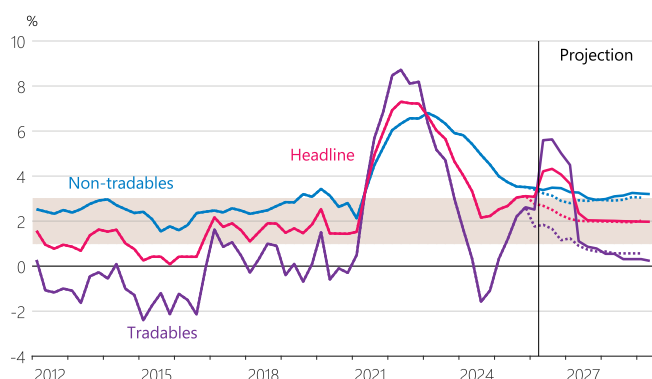
- Non-tradables inflation is projected to remain at about 3.5 percent in 2026. The more negative output gap and the higher OCR continue to put downward pressure on non-tradables inflation. However, this is mostly offset during 2026 by indirect price increases, particularly for domestic airfares, road transport, and house construction.
- Meanwhile, elevated price-setting behaviour puts upward pressure on non-tradables inflation throughout the projection, with its effect decreasing slowly. With these assumptions, annual non-tradables inflation remains broadly unchanged in 2026, before declining to around 3 percent in the December 2027 quarter.

Tradables

- Annual tradables inflation is forecast to increase to 5.6 percent in the June 2026 quarter. Tradables inflation will increase in the near term due to higher fuel prices and will remain higher than otherwise in the medium term due to higher non-oil import prices and a lower exchange rate.
- Tradables inflation then rapidly declines in 2027 as the June 2026 quarter fuel price increase falls out of the annual calculation. From the June 2027 quarter onwards, fuel has a negative contribution to annual tradables inflation, while price increases for other tradables goods remain higher than assumed in the February *Statement*.

Charts

Figure 5.1
Inflation components
(annual)



Source: Stats NZ, RBNZ estimates.

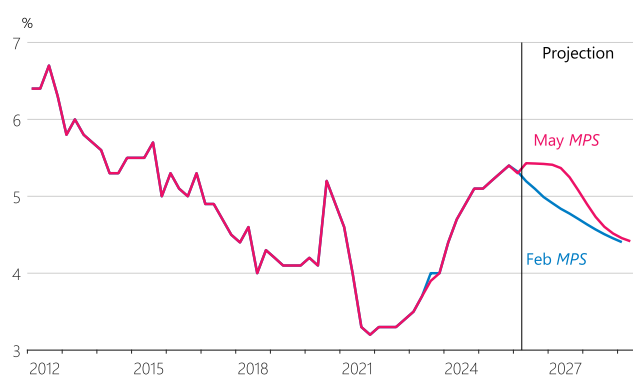
Note: Dotted lines show the projections from the February Statement. The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

Figure 5.2
Private sector LCI wage inflation
(annual)



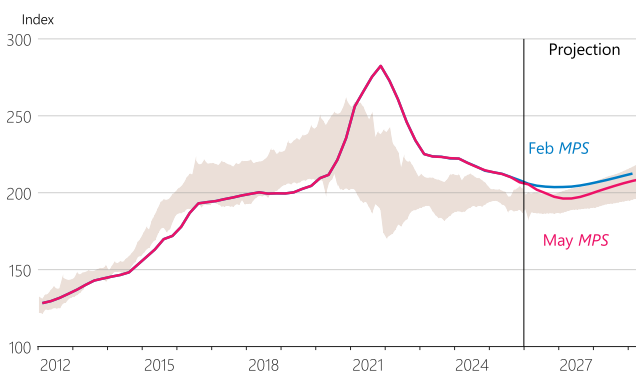
Source: Stats NZ, RBNZ estimates.

Figure 5.3
Unemployment rate
(unemployed people as a share of the labour force, seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

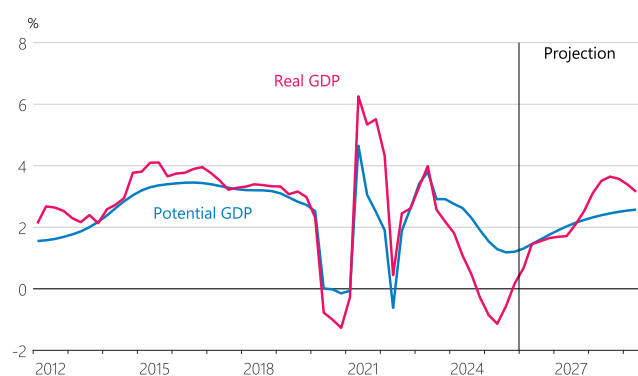
Figure 5.4
Real house prices and sustainable indicators
(index)



Source: Cotality, RBNZ estimates.

Note: See Brunton (2021), [Measures for assessing the sustainability of house prices in New Zealand](#). The indicator range may be revised from time to time as certain assumptions change, such as neutral interest rates. The indicator range has been projected in line with our projections for wages and population growth. The projection assumes the neutral interest rate remains at its current level.

Figure 5.5
Production GDP
(annual average)



Source: Stats NZ, RBNZ estimates.

Figure 5.6
OCR
(quarterly average)



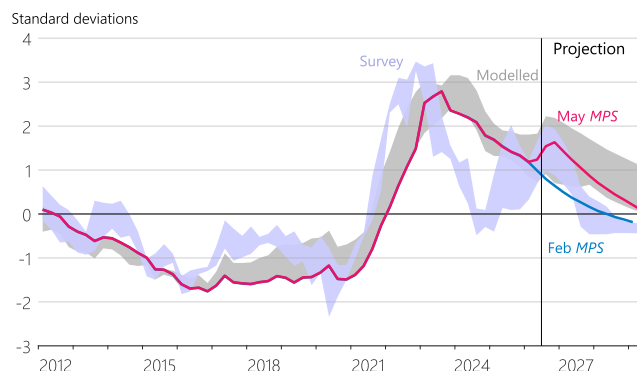
Source: RBNZ estimates.

Figure 5.7
Dubai oil price
(quarterly average)



Source: LSEG, RBNZ estimates.

Figure 5.8
Price-setting behaviour
(quarterly average)



Source: RBNZ estimates.

Note: Measures have been standardised over history to make them comparable given differences in historical averages and degrees of variability between measures. The vertical axis shows how many standard deviations away from its historical average each measure is, where zero indicates the historical average. The shaded areas show the range of modelled and survey measures. Modelled measures include adaptive measures of the form used in NZSIM with varying sensitivities to recent inflation, and a measure based on the simple average of headline inflation over the past 3 years. Survey measures include 1- and 2-year ahead inflation expectations from the Survey of Expectations, and 1-year ahead inflation expectations from the Household Expectations Survey. See [chapter 4.1 in the August 2024 Statement](#) for further discussion.

Chapter

06

Appendices



Chapter 6.

Appendices

Appendix 1: Statistical tables

Table 6.1

Key forecast variables

		GDP growth Quarterly	CPI inflation Quarterly	CPI inflation Annual	Unemployment rate	TWI	OCR
2024	Mar	0.2	0.6	4.0	4.4	71.6	5.5
	Jun	-0.6	0.4	3.3	4.7	71.4	5.5
	Sep	-1.2	0.6	2.2	4.9	70.9	5.4
	Dec	0.0	0.5	2.2	5.1	69.5	4.6
2025	Mar	1.1	0.9	2.5	5.1	67.8	4.0
	Jun	-0.9	0.5	2.7	5.2	69.1	3.4
	Sep	0.9	1.0	3.0	5.3	68.4	3.1
	Dec	0.2	0.6	3.1	5.4	66.4	2.5
2026	Mar	1.0	0.9	3.1	5.3	67.2	2.3
	Jun	0.0	1.6	4.2	5.4	66.6	2.3
	Sep	0.2	1.1	4.3	5.4	66.6	2.5
	Dec	0.5	0.4	4.1	5.4	66.6	2.8
2027	Mar	0.7	0.5	3.7	5.4	66.6	3.0
	Jun	0.8	0.4	2.4	5.4	66.6	3.1
	Sep	1.0	0.8	2.0	5.2	66.6	3.1
	Dec	1.0	0.4	2.0	5.1	66.6	3.1
2028	Mar	0.9	0.5	2.0	4.9	66.6	3.2
	Jun	0.8	0.4	2.0	4.7	66.6	3.2
	Sep	0.8	0.8	2.0	4.6	66.6	3.2
	Dec	0.7	0.3	2.0	4.5	66.6	3.3
2029	Mar	0.7	0.5	2.0	4.5	66.6	3.3
	Jun	0.7	0.3	2.0	4.4	66.6	3.3

Table 6.2

Measures of inflation and inflation expectations

	2024		2025				2026	
	Sep	Dec	Mar	Jun	Sep	Dec	Mar	Jun
Inflation (annual rates)								
CPI	2.2	2.2	2.5	2.7	3.0	3.1	3.1	
CPI non-tradables	4.9	4.5	4.0	3.7	3.5	3.5	3.5	
CPI tradables	-1.6	-1.1	0.3	1.2	2.2	2.6	2.5	
Sectoral factor model estimate of core inflation	3.2	3.0	2.8	2.7	2.7	2.8	2.7	
CPI trimmed mean (30% measure)	2.7	2.5	2.2	2.4	2.2	2.5	2.3	
CPI weighted median	2.8	2.6	2.2	2.2	2.2	1.7	1.6	
GDP deflator (expenditure)	3.4	5.4	4.2	4.1	3.0	3.2		
Inflation expectations								
Survey of Expectations								
Tara-ā-Pūkenga (SOE)								
1 year ahead	2.4	2.0	2.1	2.4	2.4	2.4	2.6	3.4
2 years ahead	2.0	2.1	2.1	2.3	2.3	2.3	2.4	2.5
5 years ahead	2.1	2.2	2.1	2.2	2.3	2.2	2.3	2.2
10 years ahead	2.0	2.2	2.1	2.2	2.2	2.2	2.3	2.2
Inflation expectations								
RBNZ Business Expectations								
Survey Tara-ā-Umanga (BES)								
1 year ahead	2.2	2.1	2.3	2.4	2.5	2.4	2.6	3.7
2 years ahead	2.2	2.2	2.5	2.5	2.6	2.4	2.6	2.9
5 years ahead	2.8	2.8	3.0	3.1	3.2	2.8	2.7	2.7
10 years ahead	3.1	3.3	3.7	3.9	3.6	3.6	3.2	2.9
Inflation expectations								
RBNZ Household Expectations								
Survey Tara-ā-Whare (HES)								
1 year ahead	4.1	4.1	4.9	5.6	6.0	5.5	5.2	5.6
2 years ahead	3.1	3.7	3.9	4.7	4.6	4.3	3.4	4.9
5 years ahead	3.4	3.4	3.6	3.7	4.1	3.8	3.3	4.0

Table 6.3

Measures of labour market conditions*(seasonally adjusted, changes expressed in annual percent terms, unless specified otherwise)*

	2024		2025				2026
	Sep	Dec	Mar	Jun	Sep	Dec	Mar
Household Labour Force Survey							
Unemployment rate	4.9	5.1	5.1	5.2	5.3	5.4	5.3
Underutilisation rate	11.7	12.2	12.4	12.8	12.9	12.9	12.9
Labour force participation rate	71.1	70.8	70.7	70.5	70.3	70.5	70.4
Employment rate (% of working-age population)	67.6	67.2	67.1	66.8	66.6	66.7	66.3
Employment growth	-0.6	-1.3	-0.9	-1.3	-0.7	0.2	0.4
Average weekly hours worked	33.3	33.1	32.9	32.7	33.1	33.3	33.5
Number unemployed (thousand people)	149	155	156	158	160	165	163
Number employed (million people)	2.89	2.88	2.88	2.87	2.87	2.89	2.89
Labour force (million people)	3.04	3.04	3.03	3.03	3.03	3.05	3.05
Extended labour force (million people)	3.14	3.13	3.14	3.14	3.14	3.15	3.15
Working-age population (million people, age 15+ years)	4.27	4.28	4.29	4.30	4.31	4.32	4.34
Quarterly Employment Survey — QES							
Filled jobs growth	-1.4	-0.8	-1.9	-1.2	0.2	-0.1	1.1
Average hourly earnings growth (private sector, ordinary time)	3.2	4.0	3.9	4.6	4.1	3.5	3.6
Other data sources							
Labour cost index growth, adjusted (private sector, ordinary and overtime)	3.3	3.0	2.6	2.3	2.1	2.0	2.0
Labour cost index growth, unadjusted (private sector, ordinary time)	4.5	3.9	3.7	3.5	3.3	3.3	3.2
Estimated net working-age immigration (thousands, quarterly)	-0.1	-0.7	0.2	2.4	1.5	4.8	9.0
Change in all vacancies index*	-31.4	-27.2	-21.7	-7.6	3.5	6.4	11.8

Note: The all vacancies index is produced by MBIE as part of the monthly Jobs Online report, which shows changes in job vacancies advertised by businesses on internet job boards. The unadjusted labour cost index (LCI) is an analytical index that reflects quality change in addition to price change (whereas the official LCI measures price changes only). For definitions of underutilisation, the extended labour force, and related concepts, see [Statistics New Zealand \(2016\), *Introducing underutilisation in the labour market*](#).

* The all vacancies index is a non-seasonally adjusted series.

Table 6.4

Composition of real GDP growth

(annual average percent change, seasonally adjusted, March years, unless specified otherwise)

March year	Actuals							Projection			
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Final consumption expenditure											
Private	4.5	2.5	0.2	6.0	3.2	1.1	0.0	1.5	1.4	3.1	3.9
Public authority	3.1	5.5	7.1	8.0	2.6	1.1	-1.3	3.2	-0.3	-0.6	-0.3
Total	4.2	3.2	1.8	6.5	3.1	1.1	-0.3	1.9	1.0	2.2	2.9
Gross fixed capital formation											
Residential	0.1	2.7	2.1	3.0	-1.3	-4.8	-12.7	-2.8	8.5	11.4	7.4
Other	7.0	3.0	-2.2	10.6	5.3	0.1	-2.7	-0.1	0.6	8.0	6.2
Total	5.2	2.9	-1.2	8.6	3.7	-1.1	-4.9	-0.6	2.2	8.7	6.4
Final domestic expenditure	4.4	3.1	1.1	7.0	3.2	0.6	-1.4	1.3	1.3	3.7	3.7
Stockbuilding*	-0.2	-0.2	-0.3	0.6	0.3	-1.4	0.4	0.3	0.0	0.0	0.1
Gross national expenditure	4.3	2.8	-0.1	8.1	3.7	-0.8	-1.0	1.7	1.3	3.7	3.9
Exports of goods and services	3.3	0.2	-17.9	2.5	5.7	8.3	3.3	2.3	1.8	2.0	3.1
Imports of goods and services	4.7	1.3	-15.7	16.8	4.2	-1.3	1.5	4.7	-0.1	4.4	5.0
Expenditure on GDP	3.8	2.5	0.2	4.4	4.0	1.5	-0.7	0.9	1.9	3.0	3.3
GDP (production)	3.3	2.3	-0.3	4.3	3.3	1.8	-0.9	0.7	1.7	3.1	3.4
GDP (production, March qtr to March qtr)	3.4	0.8	4.7	0.3	3.1	1.6	-0.7	1.2	1.4	3.8	3.0

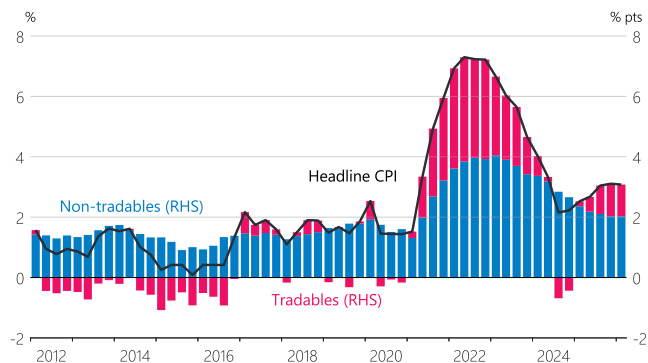
* Percentage point contribution to the growth rate of GDP.

Table 6.5**Summary of economic projections***(annual percent change, March years, unless specified otherwise)*

March year	Actuals								Projection		
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Price measures											
CPI	1.5	2.5	1.5	6.9	6.7	4.0	2.5	3.1	3.7	2.0	2.0
Labour costs	2.0	2.4	1.6	3.1	4.5	3.8	2.6	2.0	1.8	1.9	2.2
Export prices (in New Zealand dollars)	1.2	6.9	-6.1	20.6	1.0	-2.3	10.9	2.4	2.0	0.9	1.6
Import prices (in New Zealand dollars)	4.1	2.3	-2.8	18.7	7.9	-4.4	6.7	-0.5	6.9	-0.1	0.0
Monetary conditions											
OCR (year average)	1.8	1.2	0.3	0.5	3.1	5.5	4.9	2.8	2.7	3.1	3.2
TWI (year average)	73.4	71.7	72.4	74.0	71.2	71.0	69.9	67.8	66.6	66.6	66.6
Output											
GDP (production, annual average % change)	3.3	2.3	-0.3	4.3	3.3	1.8	-0.9	0.7	1.7	3.1	3.4
Potential output (annual average % change)	3.1	2.5	-0.1	1.9	3.4	2.8	1.5	1.3	1.9	2.3	2.5
Output gap (% of potential GDP, year average)	0.6	0.4	0.1	2.6	2.5	1.5	-0.9	-1.5	-1.7	-0.9	-0.1
Labour market											
Total employment (seasonally adjusted)	1.3	2.4	0.0	2.3	2.9	0.9	-0.9	0.4	1.7	2.8	2.5
Unemployment rate (March qtr, seasonally adjusted)	4.2	4.2	4.6	3.3	3.5	4.4	5.1	5.3	5.4	4.9	4.5
Trend labour productivity	0.7	0.9	1.0	0.8	0.6	0.5	0.4	0.3	0.3	0.4	0.5
Key balances											
Current account balance (% of GDP)	-3.9	-2.4	-2.5	-6.5	-8.3	-5.7	-4.3	-3.7	-4.5	-5.0	-5.1
Terms of trade (SNA measure, annual average % change)	-2.1	2.1	-0.5	0.4	-5.1	-0.9	3.4	5.0	-5.5	0.8	1.4
Household saving rate (% of disposable income)	-1.1	1.3	7.5	2.5	-2.2	1.0	1.5	2.0	1.9	-0.5	0.0
World economy											
Trading-partner GDP (annual average % change)	3.5	1.7	-0.3	6.3	3.1	3.2	3.0	3.2	2.4	2.8	3.0
Trading-partner CPI (TWI-weighted)	1.4	2.5	0.9	4.1	4.8	2.2	1.8	2.2	2.7	2.0	2.0

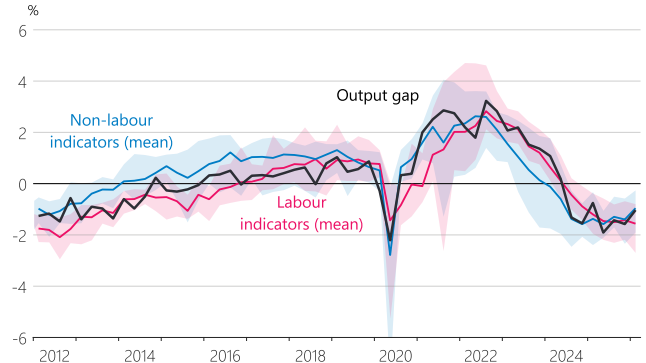
Appendix 2: Chart pack

Figure 6.1
Composition of CPI inflation
(annual)



Source: Stats NZ.

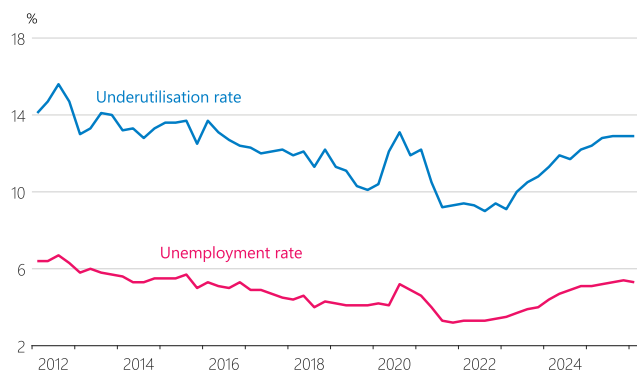
Figure 6.2
Output gap and output gap indicators
(share of potential)



Source: NZIER, MBIE, Stats NZ, RBNZ estimates.

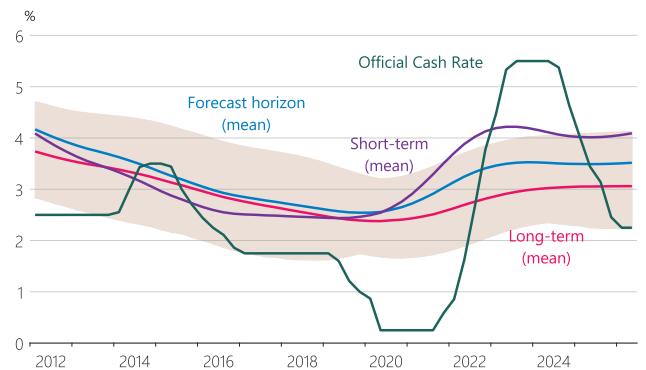
Note: The output gap indicators based on information from labour market surveys are shown separately from the other indicators. For each group of indicators, the shaded area shows the range of values and the line shows the mean value. The output gap estimate in the final quarter is based on our near-term GDP estimate.

Figure 6.3
Unemployment and underutilisation rates
(seasonally adjusted)



Source: Stats NZ.

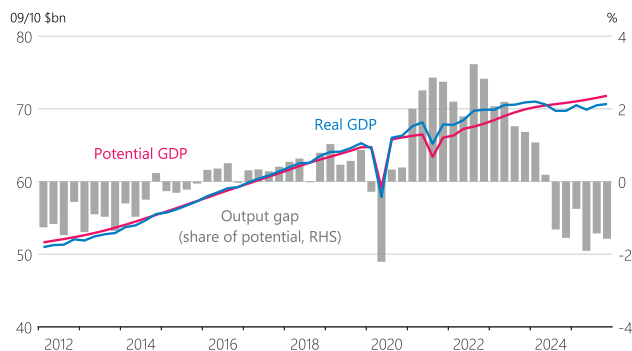
Figure 6.4
OCR and nominal neutral OCR indicator suite
(quarterly average)



Source: RBNZ estimates.

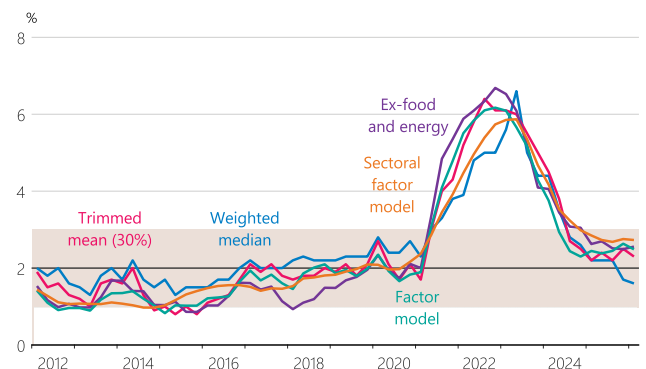
Note: The shaded area indicates the range between the maximum and minimum values from our suite of long-run nominal neutral OCR indicators. See Castaing et al. (2024), *Estimates of New Zealand's nominal neutral interest rate*.

Figure 6.5
GDP and potential GDP
(seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

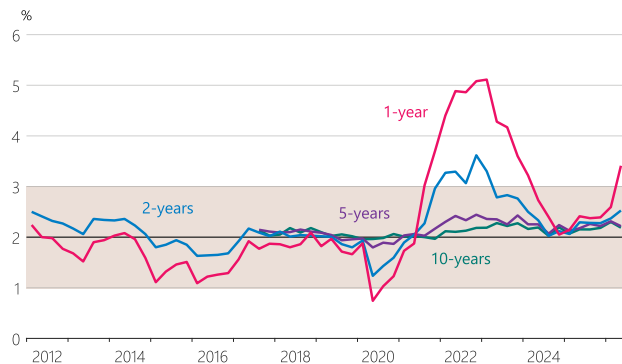
Figure 6.6
Measures of core inflation
(annual)



Source: Stats NZ, RBNZ estimates.

Note: The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

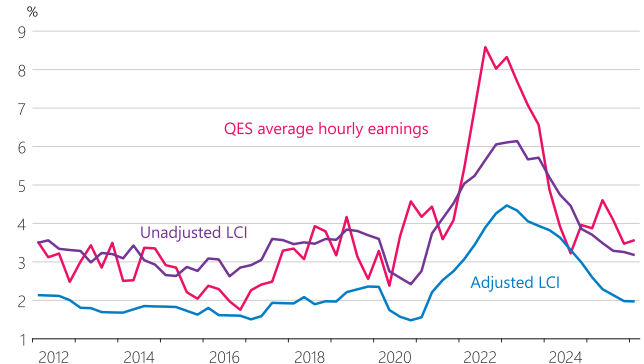
Figure 6.7
Inflation expectations
(annual, years ahead)



Source: RBNZ Survey of Expectations.

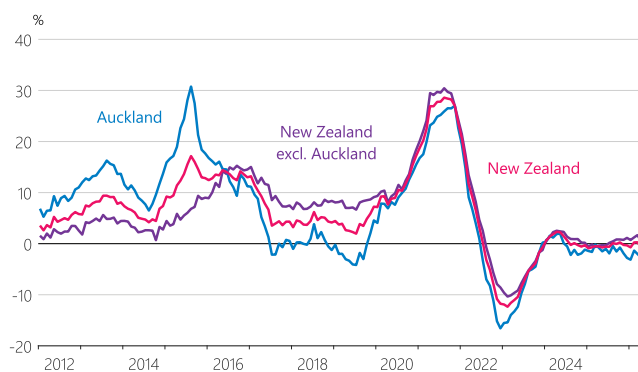
Note: The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

Figure 6.8
Private sector wage growth
(annual)



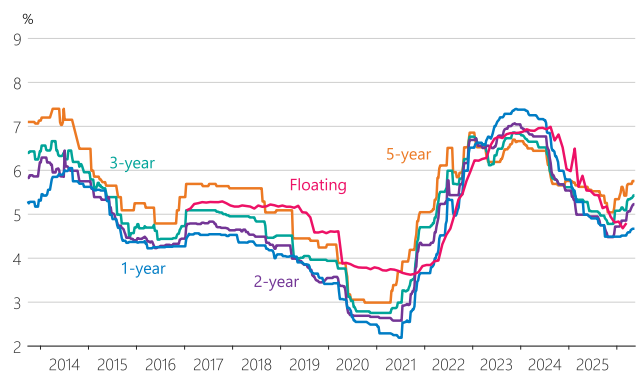
Source: Stats NZ.

Figure 6.9
House price inflation
(annual)



Source: REINZ.

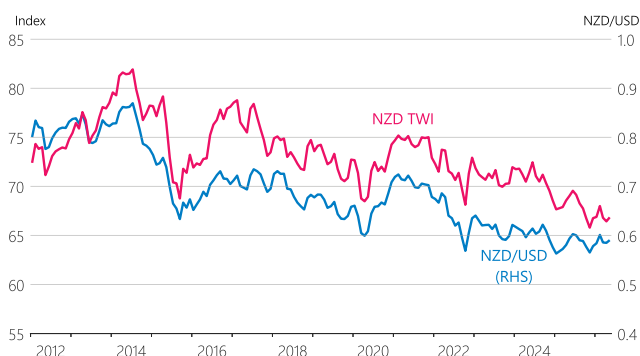
Figure 6.10
Mortgage interest rates



Source: interest.co.nz, RBNZ estimates.

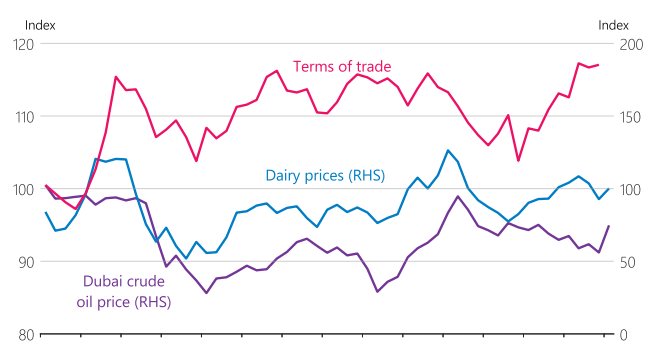
Note: The rates shown for the fixed terms are the average of the advertised rates from ANZ, ASB, BNZ, and Westpac, shown as weekly data. The floating rate represents the monthly yield on floating housing debt from the RBNZ Income Statement survey.

Figure 6.11
New Zealand dollar exchange rates
(monthly average)



Source: NZFMA, RBNZ.

Figure 6.12
Terms of trade, dairy, and oil price indices
(index = 100 in the September 2008 quarter, quarterly average)



Source: Stats NZ, Global Dairy Trade, LSEG, RBNZ estimates.



Reserve Bank
of New Zealand
Te Pūtea Matua

